INNOVATION AND ENTREPRENEURSHIP

Unit 1: Concept of Entrepreneurship

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B.TECH. V Semester-5	L	T	P	C
HM 505: Innovation and Entrepreneurship	2	0	0	2

Unit - 1	14 Hours
Concepts of Entrepreneurship: Scope of Entrepreneurship, Definitions of Entrepreneurship and Entrepreneur, Characteristics of an Entrepreneur, Entrepreneurial Development models and Theories, Entrepreneurs Vs Managers Classification of Entrepreneurs; Major types of Entrepreneurship – Techno Entrepreneurship, Women Entrepreneurship, Social Entrepreneurship, Intrapreneurship (Corporate entrepreneurship), Rural Entrepreneurship, Family Business etc.; Problems for Small Scale Enterprises and Industrial Sickness; Entrepreneurial Trait Tests; Entrepreneurial Environment – Political, Legal, Technological, Natural, Economic, Socio – Cultural etc. ; Motivation; Business Opportunity Identification *Project Planning*: Product Development – Stages in Product Development; Feasibility analysis – Technical, Market, Economic, Financial etc.; Project report; Project appraisal; Setting up an Industrial unit – procedure and formalities in setting up an Industrial unit; Business Plan Development	
Unit - 2	**14 Hours**
Innovation and Incubation: Innovation and Entrepreneurship, Creativity, Green Technology Innovations, Grassroots Innovations, Issues and Challenges in Commercialization of Technology Innovations, Introduction to Technology Business Incubations, Process of Technology Business Incubation *Sources of Information and Support for Entrepreneurship*: State level Institutions, Central Level institutions and other agencies *Protection of Innovation Through IPR*: Introduction to Intellectual Property Rights – IPR, Patents, Trademarks, Copy Rights	
Total Contact Time: 28 Hours	

Recommended Books

1. Desai Vasant, Dynamics of Entrepreneurial Development and Management, Himalaya Publishing House, India, 6th Revised Edition, 2011
2. Charantimath P. M., Entrepreneurial Development and Small Business Enterprises, Pearson Education, 3rd Edition, 2018
3. Holt David H., Entrepreneurship: New Venture Creation, Pearson Education, 2016
4. Chandra P., Projects: Planning, Analysis, Selection, Financing, Implementation and Review, Tata McGraw Hill, 9th Edition, 2019
5. Banga T. R. &Shrama S.C., Industrial Organisation & Engineering Economics, Khanna Publishers, 25th Edition, 2015
6. Prasad L.M., Principles & Practice Of Management, Sultan Chand & Sons, 8th Edition,2015

Mr. Dhirubhai Ambani – Reliance Industries

Mr. Narayana Murthy - Infosys

Mr. Shiv Nadar – HCL TECHNOLOGIES

Adi Godrej - Godrej Group

Mr. Azim Premji -WIPRO

Anand Mahindra - Mahindra Group

Uday Kotak - Kotak Mahindra Bank

Kiran Mazumdar-Shaw - Biocon Limited

Mr. Vijay Shekhar Sharma - PAYTM

Ghazal Alagh – Mamaearth

Mr. Deep Kalra - Makemytrip

Vineeta Singh - SUGAR

Mr. Ritesh Agarwal – OYO ROOMS

Nikhil Kamath - Zerodha

Nitin Kamath – Zerodha

Kaivalya Vohra – Zepto

Aadit Palicha - Zepto

ORIGIN OF THE TERM ‘ENTREPRENEUR

- The word “entrepreneur” is derived from the French term “enterprendre” which means “to undertake‟. In the 16th century, the French used this term for those people who organised or led military expeditions.
- During 17th century, this term **entrepreneur** was used for those people who took risks of profits (or loss) in a fixed price contract with government.
- But it was Richard Cantillon, an Irish-French economist living in France first used the term entrepreneur to refer to **economic activities**.

Entrepreneur

- According to **Richard Cantillon**, “An entrepreneur is an economic agent who buys factors of production (labour & capital) at certain prices in order to combine them into a product which he is going to sell at a price which was uncertain at the time of buying the factors of production”.
- **According to Oxford Dictionary, an entrepreneur is “**A person who sets up a business or businesses, taking on financial risks in the hope of profit”.
- According to **Mark Casson** : “An entrepreneur is a person who specializes in taking judgement decision about the coordination of scarce resources”
- Joseph A. Schumpeter: - "The entrepreneur is the innovator who implements change within markets through carrying out new combinations."
- Thus, an entrepreneur is a person who bears risk of uncertainty

Entrepreneurship

- Entrepreneurship is the ability and readiness to develop, organize and run a business enterprise, along with any of its uncertainties in order to make a profit.
- **As per A.H.Cole** “Entrepreneurship is the purposeful activity of an individual or a group of associated individuals, undertaken to initiate, maintain or increase profit by production or distribution of economic goods and services.”
- In simple terms, Entrepreneurship can also be described as **a process of action**, which an entrepreneur undertakes to establish his/her enterprise.
- **Frank H. Knight**: **-** "Entrepreneurship involves dealing with uncertainty and risk. Entrepreneurs are those who take on the uncertainty of business ventures and make decisions that cannot be calculated in advance."

Aspect	Entrepreneurship	Entrepreneur
Definition	The process of designing, launching, and running a new business or venture	An individual who creates, manages, and assumes the risks of a business venture
Focus	On the process, system, and environment of creating a new business	On the individual who initiates and operates the business
Scope	Broad, encompassing various activities including ideation, market research, funding, and scaling	Narrow, centered around the actions, qualities, and decisions of the person
Role	Involves the creation and management of a business ecosystem, fostering innovation and growth	Plays the role of a leader, innovator, and risk-taker within the business
Objective	To identify opportunities, gather resources, and create value through new ventures	To achieve personal and business goals, including profit, growth, and innovation
Risk	Involves the overall risk associated with starting and growing a business	Assumes personal financial and emotional risks associated with the business
Outcome	Successful entrepreneurship leads to the establishment of sustainable and profitable businesses	Successful entrepreneurs gain personal satisfaction, recognition, and financial rewards
Key Activities	Market research, business planning, resource allocation, innovation, scaling, and sustainability	Idea generation, leadership, decision-making, resource management, and networking
Impact	Contributes to economic development, job creation, and societal change	Drives personal career growth, inspires others, and potentially influences the industry
Examples	The overall startup ecosystem, including incubators, accelerators, and funding bodies	Individuals like Elon Musk, Jeff Bezos, and Indra Nooyi who have founded and led companies

RELATIONSHIP BETWEEN ENTREPRENEURS AND ENTREPRENEURSHIP

Entrepreneurs	Entrepreneurship
Producer	Production
Person	Process
Organiser	Organization
Innovator	Innovation
Risk bearer	Risk-bearing
Motivator	Motivation
Creator	Creation
Leader	Leadership
Imitator	Imitation
Visualiser	Vision
Planner	Planning
Investor	Investment

CHARACTERISTICS OF AN ENTREPRENEUR

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1. Innovative

- Entrepreneurs are creative thinkers who come up with new ideas, products, services, or processes that can solve problems or meet market needs. Innovation is at the core of entrepreneurship, driving progress and competitiveness.
- ***Example:*** Steve Jobs's key innovations include revolutionizing personal computing with the **Macintosh**, pioneering the digital music revolution with the **iPod**, and transforming the mobile phone industry with the **iPhone**. Steve Jobs' innovation with Apple products like the iPhone and iPad **revolutionized the technology** industry. Beyond specific products, Jobs's focus on design, user experience, and the integration of hardware and software set new industry standard.

2. Risk-Taker

- Entrepreneurs are willing to take calculated risks to achieve their goals. They understand that starting and growing a business involves uncertainties, but they are prepared to face these challenges for potential rewards.
- ***Example:*** Elon Musk's journey to success is filled with failures, setbacks, and bold risks. Despite being one of the most influential entrepreneurs of our time, he has faced countless obstacles along the way. From failed rocket launches with SpaceX to near bankruptcy at Tesla, his path has been anything but smooth.

3. Proactive

- Entrepreneurs are proactive individuals who take initiative rather than waiting for opportunities to come to them. They actively seek out and create opportunities to advance their business goals.
- ***Example:*** Richard Branson's proactive approach led to the creation of the Virgin Group, which spans multiple industries. The Virgin Group, founded by Richard Branson, is known for its diverse range of businesses across multiple sectors. Examples include Virgin Atlantic (aviation), Virgin Money (financial services), Virgin Active (health clubs), Virgin Galactic (space tourism), and Virgin Mobile (telecommunications). The group's ventures also extend to music (Virgin Records), hotels (Virgin Hotels), and even Virgin Trains.

4. Visionary

- Entrepreneurs have a clear vision of what they want to achieve and where they want to take their business. This vision guides their strategic decisions and inspires others to join and support their mission.
- ***Example***: Jeff Bezos's vision, particularly for Amazon, was centered on creating an "everything store" and a customer-centric approach to e-commerce. He was known for his "stubborn on vision, flexible on the details" philosophy, which guided Amazon's growth and innovation. His journey from a small online bookstore to one of the most powerful conglomerates in the world is a evidence to his visionary leadership, persistent ambition, and innovative thinking.

- He left his high-paying job in New York and moved to Seattle to launch an online bookstore, originally called “Cadabra,” which he soon renamed Amazon.
- The company’s initial success encouraged Bezos to expand Amazon’s offerings beyond books, and in 1998, the platform started selling electronics, toys, and other goods, evolving into the retail behemoth we know today.
- One of the most transformative steps for Amazon was the launch of **Amazon Web Services (AWS)** in 2006. AWS provided cloud computing services, allowing businesses to rent server space and computing power, and it quickly became a major source of Amazon’s profits.
- Bezos also led Amazon into media and entertainment. The acquisition of **Twitch** (a live-streaming platform for gamers) in 2014 and **Prime Video** turned Amazon into a key player in the entertainment industry. The creation of **Kindle** revolutionized how people consume books, further solidifying Amazon’s dominance in both digital and physical products.

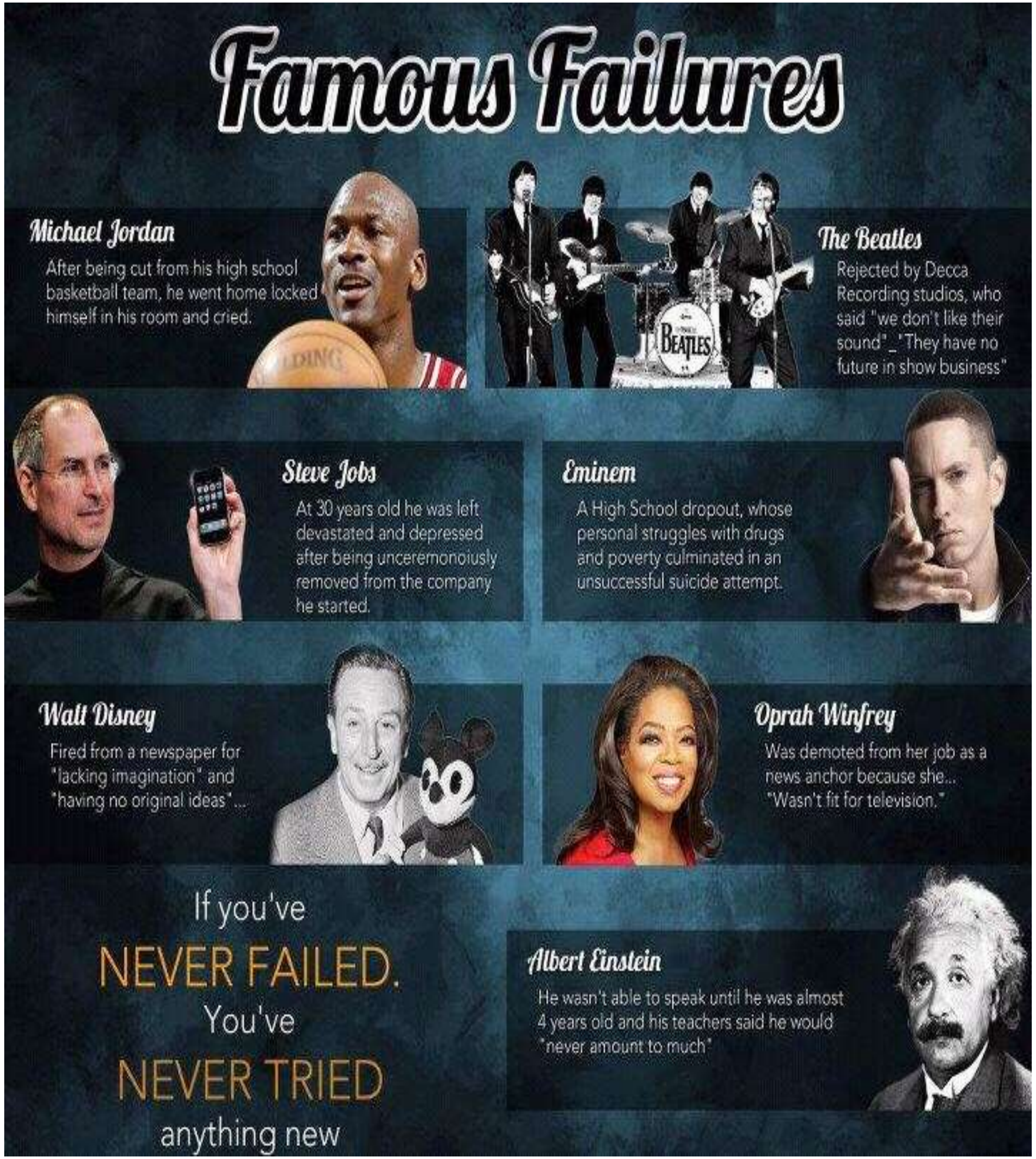
5. Passionate

- Entrepreneurs are deeply passionate about their ideas and ventures. This passion drives their persistence, resilience, and enthusiasm, even in the face of obstacles and setbacks.
- ***Example***: Howard Schultz's passion for creating a unique coffee experience led to the global success of Starbucks. After college, he worked in various sales roles, including a stint at Xerox, before encountering Starbucks. Schultz joined Starbucks as Director of Marketing in 1982, drawn to their passion for high-quality coffee. A trip to Italy in 1981 inspired him to envision Starbucks as more than just a coffee retailer; he wanted to create a social gathering space. Despite initial resistance from Starbucks' founders, he pursued his vision, eventually leaving to start his own coffee company, Il Giornale.

- In 1987, he returned to purchase Starbucks with the help of local investors and began expanding the company. Under his leadership, Starbucks grew from 11 stores to over 28,000 in 77 countries, becoming a global phenomenon.
- Howard Schultz's journey is a story of passion, vision, and dedication, transforming a small Seattle coffee bean shop into a global coffeehouse giant.

6. Resilient

- Entrepreneurs exhibit resilience by bouncing back from failures and setbacks. They learn from their mistakes and use these experiences to improve and continue pursuing their goals.
- ***Example:*** Walt Disney faced multiple business failures and bankruptcies before achieving success with Disney. Walt Disney's life and career were marked by numerous setbacks and failures, yet he consistently demonstrated resilience, adapting and evolving in the face of adversity. His ability to persevere, learn from mistakes, and maintain an optimistic outlook were key factors in his eventual success.



Early Struggles and Failures:

- Early Rejections: Disney faced rejection of his artwork early in his career.
- Bankruptcy: His first animation studio went bankrupt.
- Loss of Oswald: He lost the rights to his character, Oswald the Lucky Rabbit.
- Initial Disneyland Struggles: The early days of Disneyland were weighed down with challenges.
- Financial Hardship: He experienced bankruptcy and financial difficulties.
- Strike and Loss of Control: A devastating strike and the loss of control over his creations further tested him.

7. Decisive

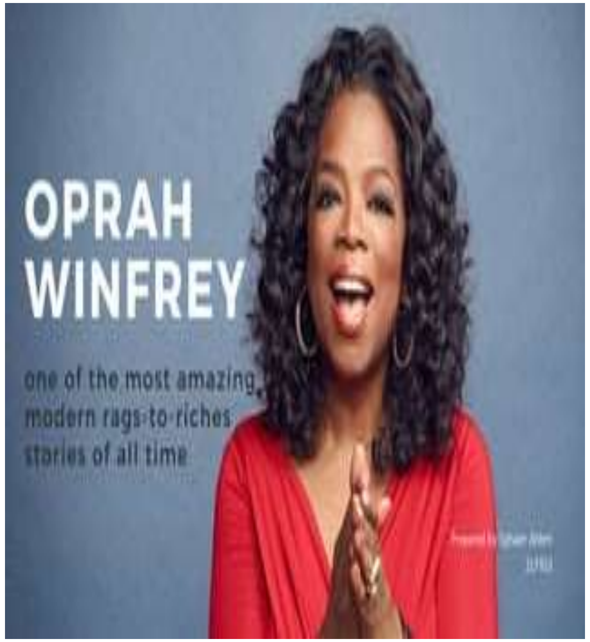
- Entrepreneurs are decisive individuals who can make tough decisions quickly and confidently. They weigh the available information, consider potential outcomes, and choose the best course of action for their business.
- ***Example***: Indra Nooyi made decisive strategic moves during her tenure as CEO of PepsiCo, leading to significant growth and innovation. Indra Nooyi, former CEO of PepsiCo, is known for her decisive leadership, particularly in implementing her "Performance with Purpose" strategy. This involved a significant shift in PepsiCo's product portfolio towards healthier options and a greater focus on sustainability. A prime example of her decisive action was her push to **reduce sugar, salt, and fat in PepsiCo products** and to **reduce packaging waste and conserve water**, despite potential investor pushback

8. Adaptable

- Entrepreneurs are adaptable and flexible, able to pivot and adjust their strategies in response to changing market conditions or new information. This adaptability helps them stay relevant and competitive.
- Example: Mark Zuckerberg adapted Facebook's business model and features to stay ahead in the rapidly changing social media landscape. A great example of adaptability in the context of Facebook (now Meta) is the company's shift from being primarily a social media platform to focusing on the metaverse and Web3 technologies to market place in facebook.

9. Resourceful

- Entrepreneurs are resourceful and capable of making the most of limited resources. They find creative solutions to problems and effectively utilize their networks, skills, and available assets.
- ***Example***: Oprah Winfrey used her resourcefulness to build a media empire, starting from humble beginnings. Oprah Winfrey's resourcefulness is evident in her ability to turn challenges into opportunities and build a media empire from the ground up. A key example is her transformation of a struggling local talk show into "The Oprah Winfrey Show," a global phenomenon. Beyond television, she founded Harpo Productions, OWN: Oprah Winfrey Network, and launched "O, The Oprah Magazine". Oprah's influence extends to philanthropy, notably through the Oprah Winfrey Charitable Foundation, supporting education and women's empowerment.



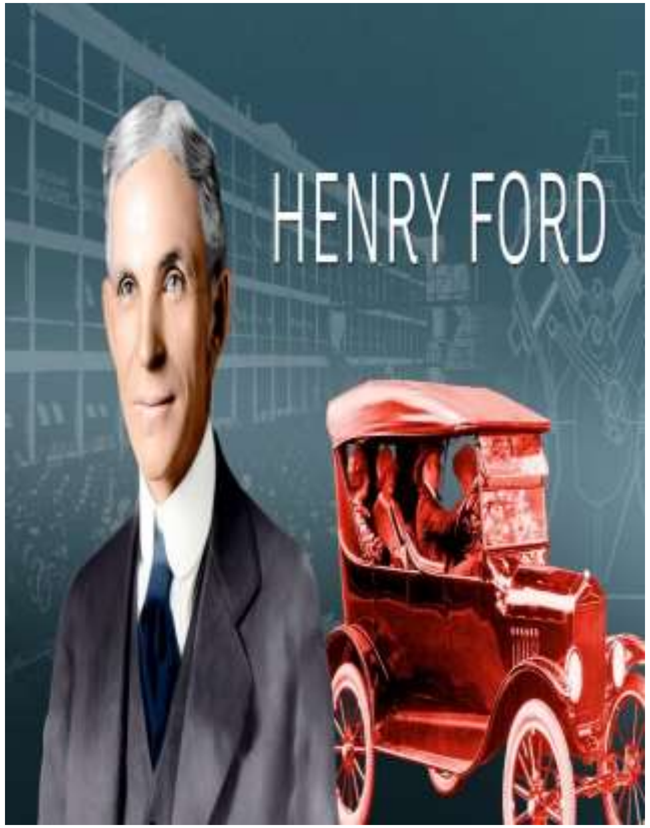
10. Leadership

- Entrepreneurs possess strong leadership skills, enabling them to inspire, motivate, and guide their team towards achieving common goals. Effective leadership is crucial for building a successful business.
- ***Example:*** Ratan Tata's leadership exemplifies a blend of visionary thinking, ethical conduct, and a people-centric approach, making him a role model for leaders in various sectors. He is known for his focus on **long-term value creation, social responsibility, and fostering innovation**. His **leadership style is characterized by integrity, empathy, and a willingness to take calculated risks** for the greater good.
- Tata Group’s decision not to do **tobacco/liquor business** highlighted the group’s commitment to ethical, socially responsible business practices.
- The Tata Trust expanded under his leadership, contributing significantly to **education**, **healthcare**, and **rural development** by setting Tata Memorial Hospital, and supported research efforts in the medical field, providing scholarships for underprivileged students and many more.

- He refused to pay bribes in the **Air India aircraft deal**, despite immense pressure to secure the contract.
- **Tata Motors** provided new trucks to Sikh drivers who lost their livelihood during the **1984 riots**, displaying corporate responsibility.
- He personally worked **alongside employees to gain grassroots** experience, strengthening his bond with them.
- After the **26/11 Mumbai attack**, he personally visited the affected families and ensured their needs were met. The formation of the **Taj Public Service Welfare Trust** supported employees affected by the tragedy.
- The Tata Group's **Code of Conduct** is one of the most respected in the corporate world, ensuring ethical transparency.

11. Customer-Focused

- Entrepreneurs prioritize understanding and meeting the needs of their customers. They continuously seek feedback and make improvements to ensure customer satisfaction and loyalty.
- ***Example***: While Henry Ford is famous for his assembly line innovation, his customer focus was more about offering affordable, reliable transportation than directly responding to customer requests. Ford identified the widespread desire for personal transportation and the limitations of existing options (like horses and carriages). Henry Ford's focus on producing affordable cars for the masses revolutionized the automobile industry with the Model T using the assembly line.



12. Networking Ability

- Entrepreneurs are skilled at building and maintaining a network of contacts, including mentors, investors, customers, and other stakeholders. Effective networking opens up opportunities for collaboration, funding, and growth.
- ***Example***: Kunal Shah, founder of CRED, is a prime example of an entrepreneur who leveraged his network to raise capital and gain valuable business knowledge.
- **Kunal Shah** effectively leveraged his networking abilities, built from his experience at FreeCharge, to develop CRED. He recognized a gap in the market for a platform that rewards responsible credit card users and built CRED around the idea of a high-trust community. Shah's strong network allowed him to attract early adopters, secure funding, and foster partnerships, ultimately contributing to CRED's rapid growth and success

Scope of Entrepreneurship

1. Economic Impact

i. Job Creation - Entrepreneurs are a significant source of new employment opportunities. For instance, small and medium-sized enterprises (SMEs) are responsible for over 50% of employment worldwide (World Bank, 2020).

In 2024, the Indian startup ecosystem has been a significant driver of job creation, with over 17.28 lakh direct jobs created by DPIIT (Department for Promotion of Industry and Internal Trade) -recognized startups as of December 2024. The IT Services sector leads in job creation, followed by Healthcare & Lifesciences and Professional & Commercial Services. Simultaneously, India's overall job creation has remained robust, with 4.67 crore jobs added in the financial year ending March 2024, and this trend is continuing into 2024-25.

- **ii. GDP Growth** – GDP, or Gross Domestic Product, is the total monetary value of all finished goods and services produced within a country's borders during a specific time period, typically a year or a quarter.
- SMEs contribute up to 40% of national income (GDP) in emerging economies (World Bank, 2020). In India, the startup ecosystem contributed significantly to GDP, with startups receiving investments worth $63 billion in 2021 alone (NASSCOM, 2022).
- In 2024, India's GDP growth is estimated at 6.5%, making it the fastest-growing major economy. In 2024, China's GDP growth reached 5.0%.
- companies like TCS and Infosys have established themselves as major players in the IT sector, providing services to international clients and contributing significantly to India's GDP.

- **iii. Innovation and Competition** - Entrepreneurs drive innovation by introducing new products, services, and technologies.
- For example, the global FinTech market, driven largely by entrepreneurial ventures, was valued at $127.66 billion in 2018 and is expected to reach $309.98 billion by 2022 (Statista, 2020).
- In 2024, innovation and entrepreneurship were central themes, with various events and initiatives highlighting their importance.
- These included the Startup Mahakumbh, IIT Madras' E-Summit, and the Global Innovation Index, all emphasizing the role of startups, technology, and social impact in driving economic growth and societal progress.

2. Social Impact

i. **Social Change** - Social entrepreneurship focuses on solving social problems through innovative initiatives, new social arrangements and mobilizing resources rather than market criteria. It helps in uniting economic thinking with the desire to generate social wealth and **acts as a catalyst** in the mission to change society.

- Social entrepreneurs **address critical issues** such as poverty, education, and healthcare. For example, organizations like **TOMS Shoes** adopt a one-for-one business model, donating a pair of shoes for every pair sold. In India, startups like **BYJU'S have revolutionized education by providing accessible online learning, reaching over 100 million students** (BYJU'S, 2022).
- Akshay Saxena, Founder and Co-CEO of Avanti Fellows, has been honoured with the prestigious Social Entrepreneur of the Year Award for 2024. **Avanti Fellows, under Saxena’s leadership, has become an inspiration for educational empowerment by partnering with government schools to offer free, high-quality tutoring and test preparation for students in grades 9 through 12.**

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AVANTI FELLOWS

ii. Improved Standard of Living - By creating jobs and enhancing economic activities, entrepreneurs improve living standards. In sub-Saharan Africa, SMEs contribute significantly to reducing poverty and improving living conditions (World Bank, 2020). Their ventures introduce new products and services, enhance competition, and generate wealth, ultimately leading to a better quality of life for individuals and communities.

iii. Community Development - Entrepreneurship fosters community development through local investments. For example, the rise of co-working spaces has revitalized urban areas, promoting local economies and community engagement . In 2024, the Indian government reported significant progress in community development and entrepreneurship, particularly through initiatives like the **Start-up Village Entrepreneurship Programme (SVEP) and the Ministry of MSME's programs**. These initiatives focused on skill development, credit support, and marketing assistance to foster entrepreneurship and economic growth at the grassroots level.

3. Technological Advancements

i. **Research and Development (R&D)** - Entrepreneurs invest heavily in R&D, leading to technological breakthroughs. The global R&D expenditure by SMEs was over $420 billion in 2020. Companies like Tesla and SpaceX have redefined automotive and space industries through continuous innovation driven by entrepreneurial vision.

- Research and development (R&D) and entrepreneurship are closely linked, with R&D often serving as a **foundation for new ventures** and entrepreneurial activities. In 2024, several initiatives and trends highlight this connection, including government schemes supporting bio-entrepreneurship and a focus on fostering an entrepreneurial mindset among youth.

ii. Digital Transformation - The COVID-19 pandemic accelerated digital transformation, with many businesses shifting to online models.

- E-commerce saw a massive surge, with global online sales reaching $4.2 trillion in 2020. Digital transformation in 2024 continues to be a major force impacting entrepreneurship. It's not just about adopting new technologies, but fundamentally changing how businesses operate, innovate, and engage with customers.
- This transformation is driving both opportunities and challenges for entrepreneurs, with a strong emphasis on leveraging digital tools to create new products, enter new markets, and improve efficiency.
- **Example: Airbnb** - Connecting homeowners with travelers for a better hospitality experience.
- **Coursera** - Bringing education to everyone through digital transformation
- **Mayo Clinic** - Implementing AI and ML for diagnosis, and remote patient monitoring through wearable devices
- **YONO,** which stands for "You Only Need One," serves as a comprehensive digital hub for both banking and lifestyle needs, offering services like account opening, loan applications, bill payments, and even online shopping through partnerships with various merchants.

4. Global Influence

i. International Trade -This transformation is driving both opportunities and challenges for entrepreneurs, with a strong emphasis on leveraging digital tools to create new products, enter new markets, and improve efficiency.

- Entrepreneurs contribute to international trade by expanding their businesses globally. For instance, Alibaba's international commerce retail business saw a revenue of $11.9 billion in 2021 (Alibaba Group, 2021). The global startup economy is valued at nearly $3 trillion, representing a significant portion of the world’s economy (Startup Genome, 2020).
- **Example : Mcdonals, Apple, Coco cola**.
- **Tata Steel** has made substantial investments in Singapore, while Tata Communications has invested heavily in its Singapore subsidiary.
- Companies like **Sunpharma, Bharat Petrol Resources, Mahindra and Mahindra** have also been actively investing overseas.

ii. Cross-Cultural Exchange - Cross-cultural exchange is a vital catalyst for entrepreneurial success, fostering innovation and growth by exposing entrepreneurs to diverse perspectives and ideas.

- This exchange involves understanding and integrating various cultural norms and business practices into entrepreneurial activities, often through international partnerships, collaborations, or networking. Effective cross-cultural communication is also crucial for building relationships, negotiating deals, and ensuring smooth operations in a globalized market.
- International trade also facilitates access to diverse resources, potentially enhancing production efficiency and competitiveness. Companies like **Airbnb have connected people from different cultures, promoting cultural exchange and understanding.**
- Cross-cultural exchange significantly benefits entrepreneurship by fostering innovation, expanding market reach, and enhancing problem-solving capabilities.
- **Example:** businesses focused on handcrafted goods, traditional arts and crafts, cultural tourism, and media that celebrates Indian stories and values.

5. Personal Development

i. Skill Enhancement - Entrepreneurship enhances various skills, including leadership, strategic thinking, and adaptability. These skills are not only vital for running a business but also highly valued in the job market. Entrepreneurs like Elon Musk and Jeff Bezos exemplify how entrepreneurial skills can lead to success in various fields. Entrepreneurship significantly enhances various skills, including business management, communication, risk-taking, networking, and problem-solving.

ii. Career Opportunities - Entrepreneurial skills open diverse career opportunities. Individuals with an entrepreneurial mindset are sought after in industries like technology, finance, and consulting. It also has diverse career opportunities, including **starting your own business, working as a consultant, or driving innovation within established companies**

6. Educational Influence

i. **Curriculum Development** - The increasing recognition of entrepreneurship’s importance has led to its integration into educational curriculum.

- Institutions like Stanford and MIT offer specialized programs in entrepreneurship, fostering an entrepreneurial mindset among students.
- Entrepreneurship education and curriculum development are closely linked, with curriculum development playing a crucial role in fostering entrepreneurial skills and mindsets.
- A well-designed entrepreneurship curriculum can equip individuals with the knowledge, skills, and attitudes necessary to identify opportunities, manage risks, and build successful ventures.

- **ii. Entrepreneurial Ecosystems** - Educational institutions are developing entrepreneurial ecosystems by providing resources, mentorship, and networking opportunities.
- Initiatives like incubators and accelerators support aspiring entrepreneurs in launching successful ventures.
- The global startup ecosystem valuation was approximately $3 trillion in 2021, with significant contributions from regions like Silicon Valley, New York, and London.
- In India, over 44,000 startups were recognized by the Department for Promotion of Industry and Internal Trade (DPIIT) as of 2021, highlighting the country's vibrant entrepreneurial landscape (DPIIT, 2021).

Entrepreneurship Development Model & theories

- Various authors have developed various theories on entrepreneurship and popularized the concept among the common people. The concept of entrepreneurship is as old as civilization while the theories of entrepreneurship have evolved from over a period of more than two centuries.
- The theories of entrepreneurship can be explained from economists, psychologists and socialist's viewpoint, which are developed over a period of time.
- In early 17th century, Richard Cantillon, an economist who is originally called as developer of entrepreneurship coined the term **"entrepreneur"** and in late 17th century, it was defined that entrepreneur bears the risk, supervises and owns the factor of production.

- Later in 1803, Jean Baptiste Say proposed that profits earned by the entrepreneur are different from the profit earned by the capital owner and thus differentiated between both. Later in late 18th century distinction was further made clear between those who supply funds and earn interests and the one who earns from entrepreneurial activities.
- In 1934, Joseph Schumpeter defines entrepreneur as an innovator and later in 1964, Peter Drucker defined the entrepreneur as the one who maximizes opportunities. In 20th century, as technology improves and globalization takes place, it’s further stated that entrepreneur not only has to make profits but also has to tap new markets, develop new products and processes. Thus, entrepreneurship has taken new meanings in this century and a lot more has to be added.

Theories of Entrepreneurship

1. Innovation Theory by Schumpeter
2. Theory of High Achievement by McClelland
3. Leibenstein’s X-Efficiency Theory
4. Risk bearing theory of Knight
5. Hagen’s theory of entrepreneurship
6. Thomas Cochran’s Theory of Cultural Values
7. Theory of Change in Group Level Pattern
8. Economic theory of Entrepreneurship
9. Exposure Theory of Entrepreneurship
10. Political System Theory of Entrepreneurial Growth

1. Schumpeter’s Theory on Entrepreneurship

- The innovative theory is one of the most famous theories of entrepreneurship used all around the world. The theory was advanced by one famous scholar, Schumpeter, in 1991.
- Schumpeter believes that creativity or innovation is the key factor in any entrepreneur’s field of specialization in addition to risk and organizing function. He believed development as consisting of a process which involved **reformation on various equipment’s of productions, outputs, marketing and industrial organizations**.
- According to him, an entrepreneur is neither **technical man nor a capitalist but simply an innovator**. He is driven motivated by establishing his psychological power. An entrepreneurship is formed for establishing his industrial empire.

- However, Schumpeter viewed innovation **along with knowledge as the main catalysts** of successful entrepreneurship. He believed that creativity was necessary if an entrepreneur was to accumulate a lot of profits in a heavily competitive market.
- Schumpeter pointed out that entrepreneurs innovate not just by figuring out how to use inventions, but also by introducing new means of production, new products, and new forms of organization. These innovations, he argued, take just as much skill and daring as does the process of invention.
- Schumpeter’s concept of entrepreneurship is quite broad based. It includes not only the independent businessmen but also executives and managers who actually undertake innovative functions.

1. **Introduction of new goods,**

- **Parle Agro – Appy Fizz**
  Originally focused on fruit-based drinks like Frooti, Parle Agro launched **Appy Fizz**, India's first sparkling apple drink. It created a completely new fruit-based fizzy beverage category in the Indian market.
- **Bajaj** re-entered the scooter market with the **Chetak Electric**, moving into the electric vehicle segment for the first time, appealing to eco-conscious urban commuters.

2. **Introduction of new methods of production,**

- **Tata Motors** approach to developing the Tata Nano, the world's cheapest car.
- **Asian Paints – Automated Paint Mixing Plants**
  Asian Paints implemented **fully automated bulk paint mixing and tinting systems** in factories, improving consistency and reducing human error in color shades.

3. Opening of a new market

- **Patanjali Ayurved – Urban Modern Retail**
  Patanjali initially sold mainly in small towns and rural markets, but later entered **modern retail chains like Big Bazaar, Reliance Retail, and online platforms**, targeting urban middle-class consumers.

4. Discovering a new source of raw materials

- **Tata Chemicals** is actively using renewable raw materials like vegetable oils, fats, grains, and wood as feedstocks for their products, particularly in the detergent and cleaner industry).
- **Pidilite Industries – Bio-based Adhesive Ingredients**
  Pidilite started sourcing **natural plant-based polymers** from rural suppliers for eco-friendly adhesive production, moving away from fully synthetic inputs.

5. Carrying out a new source of an organization.

- **Forest Essentials**
  Initially relying on in-house herbal extracts, they began sourcing **Ayurvedic herbs and rare essential oils** from certified organic farms in Uttarakhand and Himachal Pradesh. This new supply source helped them enter the luxury skincare export market with a stronger organic claim.
- **MTR Foods**
  Traditionally using centralized production for its packaged foods, MTR created partnerships with **local spice cooperatives in Karnataka and Kerala** to source fresh, high-quality spices directly. This reduced intermediaries and ensured consistent quality for their ready-mix products

2. McCLELLAND'S THEORY OF ACHIEVEMENT MOTIVATION.

- David McClelland built this work in his 1961 book, "The Achieving Society." He identified three motivators that he believed we all have:

1. a need for achievement,
2. a need for affiliation, and
3. a need for power.

- According to McClelland, while everyone possesses all three needs, one typically dominates and significantly influences their behavior and motivation.
- McClelland's Theory of Achievement Motivation, also known as the Three Needs Theory or Acquired Needs Theory, proposes that individuals are primarily motivated by three basic needs: achievement, affiliation, and power

- McClelland says that even if we are from different culture, age or gender, we all have three motivating drivers, and one of these will be our dominant motivating driver. This dominant motivator is largely **dependent on our culture and life experiences**.
- This theory is regarded as the most important psychological theory. McClelland wanted to find the internal factors that motivate people to take opportunity of the trade.

McCLELLAND'S THEORY

1. Need for Achievement ("n Ach"):

This is the drive to excel, to achieve in relation to a set "**standard, and to strive to succeed**". In other words, need for achievement is a Behaviour directed towards **competition with a standard of excellence.**

- McClelland found that people with a high need for achievement perform better than those with a moderate or low need for achievement, and noted regional, national differences in achievement motivation.
- A drive to excel, succeed, and overcome challenges. Individuals with a high n-Ach are often motivated by setting and achieving realistic goals, taking calculated risks, and receiving feedback on their performance.

McCLELLAND'S THEORY

2. Need for Affiliation (“n Aff”):

The need for affiliation is defined as a **desire to establish and maintain friendly and warm relations** with other people. The need for affiliation, in many ways, is similar to Maslow’s social needs.

- Individuals with a high n-Aff are motivated by social connections, teamwork, and belonging.

McCLELLAND'S THEORY

3. Need for Power ("n Pow"):

The need for power is concerned with making an impact on others, the desire to influence others, the urge to change people, and the desire to make a difference in life.

- People with a high need for power are people who like to be in control of people and events. These result in ultimate satisfaction to man.
- A drive to **influence and control others**. Individuals with a high n-Pow may be motivated by leadership roles, competition, and having a strong impact on their environment.


NEED FOR POWER
THE NEED FOR AFFILIATION
THE NEED FOR ACHIEVEMENT
NEED FOR POWER
• Control others
• Desired things done
NEED FOR AFFILIATION
• Friendship
• Good relationship
NEED FOR ACHIEVEMENT
• Drive to excel
• Set of Standards
• Strive to succees

KAKINADA EXPERIMENT

- Kakinada is an industrial town in Andhra Pradesh. The experiment started in January 1964.
- The main objective of the experiment was to break the barrier of limited aspirations by inducing achievement motivation.
- A total of fifty-two persons were selected from business and industrial community of the town.
- They were given an orientation programme at Small Industry Extension Training Institute (SIETI), Hyderabad.
- The participants were grouped into three batches. They were put under training for 2 years.
- The training programme was designed in such a way that it could help the trainees improve imagination and enable them introspect their motivation.

KAKINADA EXPERIMENT

- The impact of this training programme on the behaviour of the participants was observed after a period of two years.
- The observations were encouraging. It was found that those attended the programme performed better than those who did not.
- The participant’s need for achievement was tested using Thematic Appreciation Test (TAT).
- In this TAT, ambition related pictures were displayed to the trainees and then they were asked to interpret the picture and what is happening in the picture. Thereafter, all the themes related to achievement were counted and, thus, the final score represented one's need for achievement.
- Thus, Training programme **positively influenced** the entrepreneurial behaviour of the participants. The need for achievement motivation can be developed more especially in younger minds.

- **Other example**, a **“Junior Achievement Programme**" is started in the United States of America with a view to introduce achievement motivation in the minds of younger generation.
- Similarly, in United Kingdom, "**Young Enterprise**" programme has been started with the same objective of inducing achievement motivation in younger minds.
- Thus, Entrepreneurship is to be developed from a very young age. Accordingly, efforts have been made to develop a **school curriculum** that would result in a high need for achievement among the students.
- For this purpose, the success stories drawn from history and legends of our own culture are introduced in course curriculum to induce in young minds the need for achievement and strong desire to do something good/ great when they grow up. This is because younger minds can change faster.

IMPLICATIONS OF McClelland’s theory

- McClelland's theory can help you to identify the **dominant** motivators of people on your team.
- You can then use this information **to influence** how you set goals and provide feedback, and how you motivate and reward team members.
- You can also use these motivators **to craft, or design, the job** around your team members, ensuring a better fit.
- The important implication of this theory is that the leaders will have to **understand the type of group** members and accordingly motivate them; following are the examples

3. Leibenstein's X-Efficiency Theory

- Harvey Leibenstein was a Jewish American economist of Ukrainian origin. The concept of x-efficiency was one of his most important contributions to economics.
- In economics, x-efficiency is the **ability** with **which a given set of inputs produces outputs**. A company is said to be technically efficient if it produces the most output possible given the resources it employs, such as men and machinery, and the best technology available.
- **X-efficiency refers to the degree of efficiency maintained by firms under conditions of imperfect competition.**
- When technical efficiency is not achieved, **x-inefficiency occurs**.
- This theory, which was originally developed for another purpose, has recently been applied to the study of the entrepreneur's role

- **The concept of x-efficiency is used to estimate how much more efficient a company would be in a more competitive environment.**
- Leibenstein's X-efficiency theory explains that **firms don't always operate at maximum efficiency** due to various factors, and that entrepreneurs can exploit these inefficiencies.
- **An example** is a poorly managed government-run postal service that has **high costs and slow delivery times** because it **lacks competitive pressure**. An entrepreneur could potentially enter the market with a more efficient, lower-cost delivery service, exploiting the existing inefficiency.

- **X-efficiency and x-inefficiency** are the same economic concept.
- **X-efficiency measures how close to optimal efficiency a firm is operating in a given market**. **For example**, a firm may be 0.85 x-efficient, meaning it is operating at 85% of its optimal efficiency. This would be considered very high in a market with significant government controls and state-owned enterprises.
- X-inefficiency is the same measurement, but the **focus is on the gap** between **current efficiency and potential**. A state-owned enterprise in the same market as the previous company may have an x-efficiency ratio of 0.35, meaning it is operating at only 35% of its optimal efficiency.
- **In this case, the firm may be referred to as x-inefficient to draw attention to the large gap, even though it is still x-efficiency that is being measured.**

Key aspects of X-efficiency theory:

- **Imperfect Competition:**

The theory primarily applies to markets where firms face less competitive pressure, such as monopolies or oligopolies.

- **Beyond Allocative Efficiency:**

X-efficiency focuses on the internal operations of firms, specifically how effectively they utilize resources (inputs) to produce goods and services, rather than on the overall allocation of resources in the economy.

- **Cost Minimization:**

Traditional economic models assume firms minimize costs, but X-efficiency theory suggests that firms may not always do so, even if they could.

Sources of X-inefficiency:

Several factors can contribute to X-inefficiency, including:

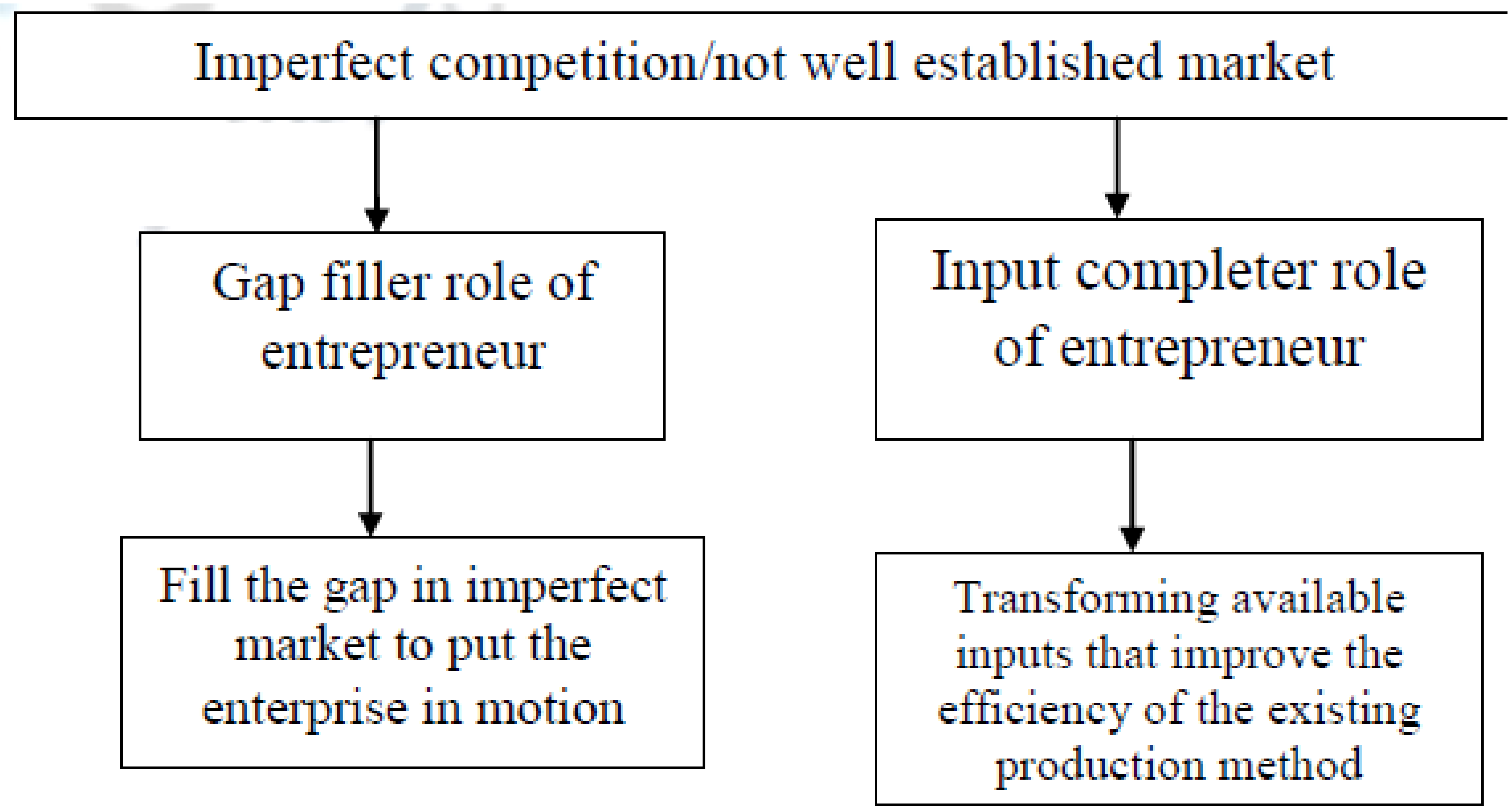
- **Managerial Slack**: Managers may not be as focused on cost reduction as they could be.
- **Lack of Incentives**: Employees might not be adequately motivated to work efficiently.
- **Bureaucratic Inefficiencies**: Complex organizational structures can hinder efficient resource allocation.

Therefore, Leibenstein identifies two roles for the entrepreneur

- Leibenstein's X-efficiency Theory **highlights the role of entrepreneurs as "gap fillers" and "input completers**" in addressing inefficiencies within a firm.
- These roles emerge because firms in imperfect markets may not always operate at their maximum potential efficiency. Entrepreneurs step in to bridge these gaps and improve resource utilization.

1. Gap Filling:

- Entrepreneurs **identify and address missing elements or inefficiencies** in a market or within a firm's operations.
- **Example:** A startup might identify an opportunity in a market where existing firms are not fully utilizing their resources due to factors like **outdated technology or inefficient processes**. The startup, acting as a gap filler, can introduce new technologies or processes to improve efficiency and capture market share.


Imperfect competition/not well established market
Gap filler role of entrepreneur
Input completer role of entrepreneur
Fill the gap in imperfect market to put the enterprise in motion
Transforming available inputs that improve the efficiency of the existing production method

2. Input Completion:

- Entrepreneurs provide or facilitate access to the inputs (resources, knowledge, skills) necessary for efficient production or for introducing new production methods.
- **Example:** A firm might lack access to specialized machinery or skilled labor needed for a new product line. The entrepreneur could either acquire the machinery, train employees, or connect the firm with the necessary resources.
- In essence, Leibenstein's theory suggests that entrepreneurs are **not just risk-takers but also crucial agents** of efficiency in imperfect markets. They **identify and address inefficiencies**, ultimately leading to a more productive and dynamic economy.

Leibenstein X- efficiency Theory

- **Routine entrepreneurship** – deals with normal business functions like co-ordinating the business activities.
- **Innovative entrepreneurship** – wherein an entrepreneur is innovative in his approach. It includes the activities necessary to create an enterprise where not all the markets are well-established or clearly defined.

4. Risk bearing theory of Knight:

According to Knight, the **most important feature** of entrepreneurship is **Risk bearing**. Some important features of the theory are:

1. Risk Creates profit: As entrepreneur bears risk, therefore he earns profit.

2. More Risk more Gain: Entrepreneurs face different types of risks according to their ability and interests. This theory states that more the risk more will be the returns.

3. Profit as Reward and cost: Profit is the reward of bearing risk. Therefore, it is also called as normal cost of production.

4. Entrepreneur's income is uncertain: According to knight, uncertainty is the important element of entrepreneurship. There are **two types of the risk: insurable and non-insurable**. Entrepreneur earns profit because he bears non– insurable risk which is uncertain.

5. Hagen’s theory of entrepreneurship (social change)

Hagen’s (1962) has propounded a theory of withdrawal of status respect. According to him, **withdrawal of status respect leads to the entrepreneurship**. **It occurs when the member in the group perceives that their efforts and purposes in the life are not valued by the other members.**

Some examples of "**withdrawal of status respect**" include when:

1) a formerly higher status group is displaced by a new group;

2) a social group's symbols are insulted by the dominant group;

3) a group's symbols become unaligned with their actual economic power.

4) a group's status is lowered due to migration to a new place

- Hagen’s theory provides that a class **which lost its previous prestige** or a minority group tends to show **aggressive** entrepreneurial drive.
- If a group feels that their values and status are not respected by society, they **turn to innovation** to get respect of society.
- Hagen uses the Samurai community of Japan as a **prime example**. Traditionally, the **samurai enjoyed high social status and power**.
- However, when Japan modernized and adopted Western technologies, the samurai's warrior skills became less relevant, and their status declined.
- This loss of status, according to Hagen, **motivated many samurai to become entrepreneurs**, leading to innovation and economic development in Japan.

He further stated that withdrawal of the status respect would **give rise** to **4 types of personalities** :

1. **Innovator**: An entrepreneur who is innovative and try to attain his objectives set by himself.
2. **Retreatist**: Entrepreneur who keeps on working in society but remains indifferent to his work or status.
3. **Ritualist**: One who works as per the rules of the society but has no hope in the improvement in his status.
4. **Reformist**: One who is a revolting and tries to carry new ways of working and develops new society.

6. Thomas Cochran’s Theory of Cultural Values

- According to him, entrepreneurs are **not super normal powers** but are the **role models of the society**.
- The theory believes in the idea that economic development **isn't purely driven by money or resources** but by **culture and social influences.**
- The key magnitude in this theory is **cultural values, role expectations and social sanctions**.
- It proposes that entrepreneurs are not inherently different from the general population, but rather represent the "**modal personality**" shaped by their society.
- Factors like **attitudes towards risk, innovation, and the perceived difficulty of a career path** are all culturally determined.

As per theory Entrepreneur’s performance is influenced by the **three factors**:

1. Own attitudes towards his occupation,
2. The role expectations held by key groups,
3. The evolving demand of their job.

Examples: 1. Parsis in India:

- Despite being a small community, the Parsis have historically made **significant contributions to Indian business and entrepreneurship**. This can be attributed to their cultural values that emphasize **hard work, innovation, and a strong sense of community**.

2. Samurais in Japan:

- Historically, Samurais were known for their **discipline, loyalty, and strategic thinking,** which are qualities that can be relevant to entrepreneurial success. Their cultural emphasis on these values likely influenced their involvement in business and trade.

3. American :

- **Rapid adoption of technology, professional management, innovation, mass production** during 1990's was fuel by entrepreneur who were empowered by the social environment.

7. Theory of Change in Group Level Pattern

- Frank Young's Theory of Change in Group Level Pattern suggests that **entrepreneurial activity is the product of family background experience and exposure of individual as a member of group.**
- **Thus, entrepreneur is a result of member of particular group and idea does not work alone.**
- A theory of change in a group level pattern outlines **how a group's activities are expected to lead to desired outcomes and impact, often visualizing a causal pathway from inputs to long-term goals.**
- Entrepreneurship is understood as a group-level pattern where **clusters of individuals enterpreneural qualities develop entrepreneurial behavior,** emphasizing the importance of these collective qualities over individual traits to achieve entrepreneurial success.

Focus on Groups:

- Young arrived at the group level pattern behaviour entrepreneurs based on his studies known as Thematic Appreciation Test (TAT) on groups of entrepreneurs.
- This theory emphasis that individual level entrepreneurial characteristics should be underside and group level pattern should be emphasis if successful entrepreneurial qualities to be developed.
- Young’s theory is a theory of change based on society’s incorporation of reactive subgroups.

A group becomes reactive when the following three conditions coincide:

1. When denied of access to important social networks;
2. When a group experiences low ‘status recognition; and
3. When the group has better institutional resources than other groups in the society at the same level

- Young interprets individual entrepreneurial characteristics as the "base" of the group's predominant pattern of behavior.
- Entrepreneurial success is linked to groups identifying and appreciating a cluster of qualities necessary for entrepreneurship.
- When these conditions are met, a group's capacity to react gives rise to entrepreneurial behavior
- **This shows that a group has a higher tendency to become successful entrepreneur than individual.**

8. Economic theory of Entrepreneurship:

- This theory was propounded by **Papanek and Harris**. According to them if **economic incentives** are available in the country, then there will be entrepreneurship.
- Economists believe that entrepreneurship and economic growth exists where **economic conditions are favourable** to the business environment.
- There are large numbers of **economic factors** (interest rates, inflation, taxes, and unemployment rates) **which helps in upgrade or degrade entrepreneurship in a country**.

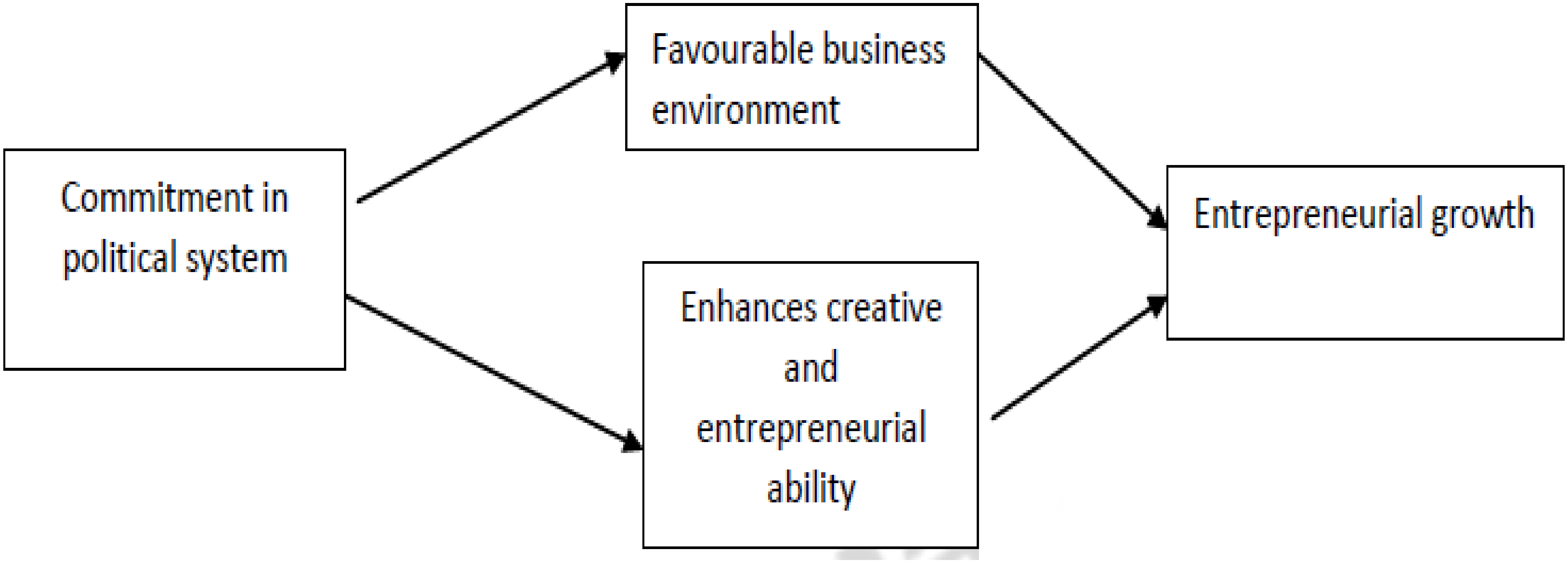
- According to them, economic incentives are the **main drive** for the entrepreneurial activities. In some cases, it not so evident, but the **persons inner drives have always been associated with economic gains**.
- The economic entrepreneurship develops at a faster rate and come forward to establish new ventures and bring resources, labour, materials and other assets and put them together to increase their wealth.
- It is further strengthened by the fact that **Marwaris and Vaishyas** are everywhere in the country but only Gujarati Marwaris and Vaishyas leads in businesses because Gujarat has a more favourable economic condition.
- Thus, it is concluded that favourable business environment has impact on entrepreneurial growth.

9. Exposure Theory of Entrepreneurship

- The Exposure Theory of Entrepreneurship suggests that individuals are more likely to become entrepreneurs **if they are exposed to new ideas and opportunities,** which can then lead to innovation and the establishment of new businesses.
- This exposure can come from various sources like **education, cultural values, economic conditions, motivation, and even religious beliefs.**
- Essentially, the **more exposure** an individual has to entrepreneurial thinking and practices, the more likely they are to develop an **entrepreneurial mindset and pursue entrepreneurial ventures**.
- The Exposure Theory suggests that by **creating environments that foster exposure** to entrepreneurial ideas and opportunities, we can cultivate a more vibrant entrepreneurial ecosystem than individual traits.

10. Political System Theory of Entrepreneurial Growth

- This theory states that favourable political environment has an impact on the entrepreneurial growth because stable political system creates infrastructure, promotes policies and encourage people towards entrepreneurship.
- Commitment in the political system creates a favourable business environment and enhances creative and entrepreneurial ability which leads to the entrepreneurial growth in the country.


Commitment in political system
Favourable business environment
Enhances creative and entrepreneurial ability
Entrepreneurial growth

Entrepreneur vs Manager

Particulars	Entrepreneur	Manager
Meaning	It refers to persons who establish a company or enterprise and takes a financial risk to get profits.	They are individuals responsible for administering and controlling a group of people in the company or enterprise.
Position in the company	They are visionaries who convert an idea into a business. They are the owners of the company.	They are the employees of the company.
Focus	They focus on business startups.	They focus on ongoing operations.
Risk	They bear all financial and other risks.	They do not bear any risks.
Focus	They focus on starting the business and expanding the company.	They focus on the daily smooth functioning of the company.
Motivation	Their key motivation is the achievements of the company.	Their motivation comes from the power that comes with the position.

Particulars	Entrepreneur	Manager
Reward	Their reward is the profit they earn from the company.	Their reward is the salary they draw from the company.
Approach	They can be casual in their role and have an informal approach.	Their approach to every problem is formal, and they take a scientific approach.
Nature of decisions	They are risk-takers. They take calculated risks to drive the company.	They are risk-averse. Their job is to maintain the status quo of the company.
Decision making	The decisions tend to be instinctive, spontaneous.	The decisions are calculative.
Specialisation	They do not need to be specialised in any particular trade.	They are trained to perform tasks and are specialists in their domain.

Classification of Entrepreneurs

1. Based on the Type of Business

a. Business Entrepreneurs: These entrepreneurs start and manage business enterprises with the primary **goal of earning profits**. They identify opportunities in various sectors such as **manufacturing, trading, and services, and create ventures** to exploit these opportunities. Business entrepreneurs are often characterized by their ability to take calculated risks, innovate, and manage resources efficiently.

Lakshmi Mittal

Lakshmi Mittal is the CEO and chairman of **ArcelorMitta**l. It is the world's largest steel and mining corporation.

b. Trading Entrepreneurs: Trading entrepreneurs are engaged in the **buying and selling of goods**. They create and exploit markets for their products by understanding **market demand, sourcing goods, and selling** them at a profit. Trading entrepreneurs does **negotiating, managing supply chains, and understanding market dynamics**.

Sam Walton, the founder of **Walmart**, built a retail empire through innovative trading practices. He revolutionized retail by introducing concepts like large-scale discounting, efficient supply chain management, and customer-centric services.

c. Industrial Entrepreneurs: Industrial entrepreneurs are involved in the **manufacturing sector**, producing goods and transforming raw materials into finished products. They focus on **process optimization, quality control, and scaling production** to meet market demands. Industrial entrepreneurs often require significant capital investment and technical expertise. An industrial entrepreneur is a person **who starts or expands an industrial undertaking**, leveraging economic resources and technology to create new products or services to meet market needs

Andrew Carnegie, who led the expansion of the **American steel industry,** is a notable industrial entrepreneur. His innovations in steel production and aggressive business strategies helped build one of the largest and most profitable industrial enterprises of his time.

d. Agricultural Entrepreneurs: Agricultural entrepreneurs are engaged in activities related to agriculture, such as **farming, livestock rearing, and agro-based industries**. They focus on improving **agricultural productivity, adopting new farming techniques, and creating value-added products**. Agricultural entrepreneurs play a crucial role in food security and rural development.

- **Chris Kirubi**, a Kenyan entrepreneur, invested in agribusiness ventures and modern farming techniques to boost agricultural productivity in Africa. His initiatives have contributed to improving food supply and creating employment opportunities in the region.
- **Bina Devi:** she is also Known as "Mushroom Mahila," she empowers rural women through mushroom cultivation, organic vermicompost production, and promoting climate-smart farming practices.

2. Based on the Level of Innovation

a. Innovators: Innovators are entrepreneurs who introduce **new products, services, or processes**. They are characterized by their **high levels of creativity and willingness to take risks to bring new ideas to market**. Innovators often disrupt existing markets and create entirely new industries through their inventions and breakthroughs.

- **Raghav Chandra (Urban Company**): Chandra co-founded Urban Company, a platform that connects users with local service professionals for home services.
- **Alakh Pandey (Physics Wallah):** He Started a YouTube channel to provide accessible education, which evolved into the successful and profitable edtech company, Physics Wallah.

b. Imitative Entrepreneurs: Imitative entrepreneurs **replicate or improve upon existing products, services, or processes**. They observe successful ideas in the market and adapt them to new contexts or markets. Imitative entrepreneurs excel in recognizing successful business models and implementing them effectively.

- Howard Schultz, who adapted the Italian coffeehouse concept to create **Starbucks**, is an imitative entrepreneur. By introducing the European café experience to the American market, he built a global coffeehouse chain known for its ambiance and customer experience.
- Indian company **Ola**, which replicated Uber's ride-hailing model but adapted it for the Indian market by incorporating local transportation like auto-rickshaws and bike taxis.
- **Flipkar**t, which followed Amazon's e-commerce model while customizing for Indian consumers with features like cash on delivery.

- **Walmart:** Though not the first to open a discount store, Sam Walton improved the business model with a focus on rural areas, superior logistics, and supply chain management. His ability to imitate and enhance existing retail strategies led to Walmart becoming a global retail giant.

c. Fabian Entrepreneurs: Fabian entrepreneurs are cautious and sceptical about changes and innovations. Fabian Entrepreneurs are characterized by **their cautious approach to business**, **prioritizing stability and long-term sustainability over rapid growth**. Fabian entrepreneur is **a slow, steady, and cautious** individual who takes their time to build a business, focusing on stability and sustainability rather than rapid growth or risky innovation. They are **risk-averse, preferring gradual innovation and relying on proven methods** and thorough **market research** before making strategic decisions

- **Personal Computers: IBM** was initially slow to enter the personal computer market. They waited until the market was well-established by companies like Apple before launching the IBM PC. Despite being late entrants, they eventually succeeded by leveraging their strong brand and existing business relationships.
- **Amul**, which grew gradually by focusing on quality and market research before introducing new products.

d. Drone Entrepreneurs: Drone entrepreneurs are **resistant to change** and **stick to their traditional methods** of business, even if they suffer losses. They are characterized by their **reluctance to adapt to new market conditions or technological advancements**.

Kodak

Digital Photography: Kodak was a pioneer in the early development of digital photography technology. However, they were slow to transition from film to digital photography because they were concerned about cannibalizing their film business. This resistance to change ultimately led to their decline as digital photography became the dominant technology.

- **HMT Watches**

Despite shifting customer preferences, HMT failed to upgrade its watch designs and adopt quartz technology. The company continued producing mechanical watches while modern brands introduced innovative designs. This inability to innovate led to a decline in demand, ultimately causing HMT to lose its once-dominant position in the market.

- **Premier Padmini (Fiat)**

Premier Padmini resisted updating its car design and technology to meet modern standards. While other brands introduced advanced features and appealing designs, Premier Padmini stuck to its outdated models. As consumer preferences evolved, the brand's failure to innovate led to its decline and disappearance from the market.

3. Based on Stages of Development

a. First-Generation Entrepreneurs: First-generation entrepreneurs are individuals w**ho start their own businesses** without any family business background or entrepreneurial heritage. They are **self-made entrepreneurs** who build their ventures from scratch, often overcoming significant challenges and obstacles.

- Steve Jobs, who founded Apple without coming from an entrepreneurial family, is a first-generation entrepreneur. His vision and innovative approach revolutionized the technology industry and created one of the most valuable companies in the world.
- **Jeff Bezos (Amazon), Ritesh Agarwal (OYO Hotels), N.R. Narayana Murthy (Infosys), and Falguni Nayar (Nykaa).**

b. Second-Generation Entrepreneurs: Second-generation entrepreneurs **inherit and manage family businesses**. They bring new ideas, innovations, and strategies to the existing business, **often leading to its expansion and modernization**. Second-generation entrepreneurs play a vital role in sustaining and growing family enterprises.

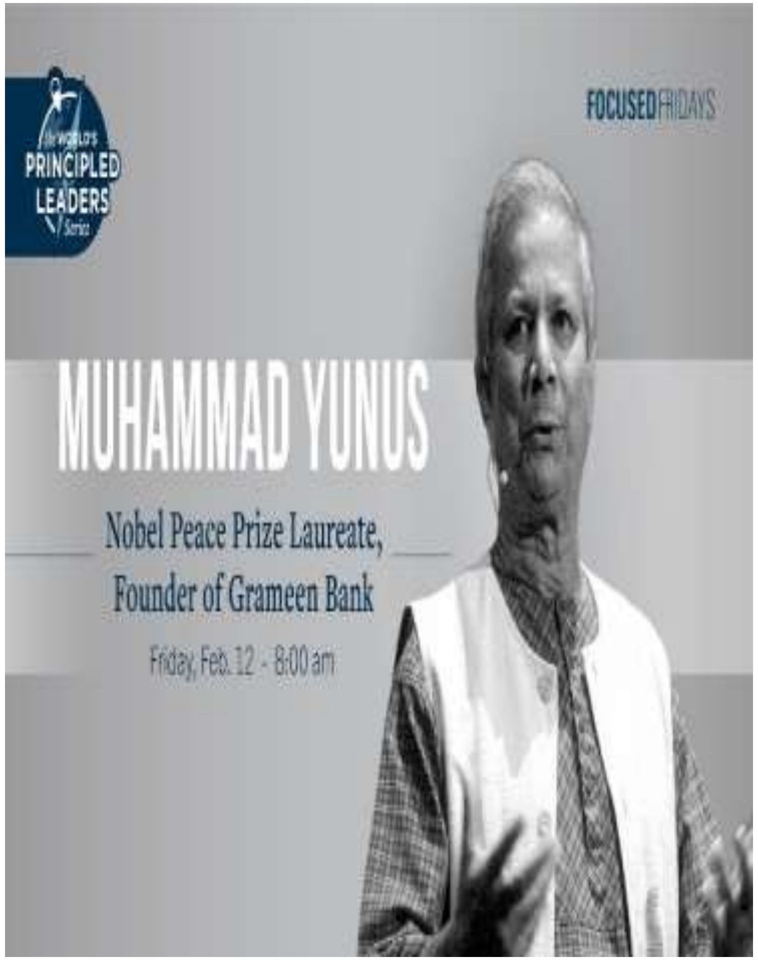
- **Mukesh Ambani**, who expanded and diversified Reliance Industries, a company founded by his father Dhirubhai Ambani, is a second-generation entrepreneur. Under his leadership, Reliance has become a global conglomerate with interests in petrochemicals, telecommunications, and retail.
- **Ratan Tata, who took over the Tata Group from his father and expanded it.**
- **Dilip Shanghvi of Sun Pharma, who transformed his family's business.**

c. Serial Entrepreneurs: Serial entrepreneurs repeatedly **start new businesses, one after another**. They thrive on the excitement of new ventures and are constantly seeking new opportunities. Serial entrepreneurs are characterized by their ability to learn from previous experiences and apply their knowledge to new ventures.

- **Richard Branson**, who has founded over **400 companies** under the Virgin brand, is a serial entrepreneur. His ventures range from music and airlines to telecommunications and space travel, showcasing his versatility and entrepreneurial spirit.
- **Ratan Tata** acquired numerous companies and businesses for the group, including Jaguar Land, Tetley, Rover, and many others.

d. Social Entrepreneurs: Social entrepreneurs focus on **solving social problems through innovative solutions**. They prioritize **creating social value and improving the well-being of communities** over generating profits. Social entrepreneurs often work in areas such as education, healthcare, and environmental sustainability.

- **Muhammad Yunus**, Bangladeshi entrepreneur founder of **Grameen Bank**, pioneered **microfinance** to help alleviate poverty. His efforts have provided financial services to millions of underserved individuals, empowering them to improve their livelihoods.



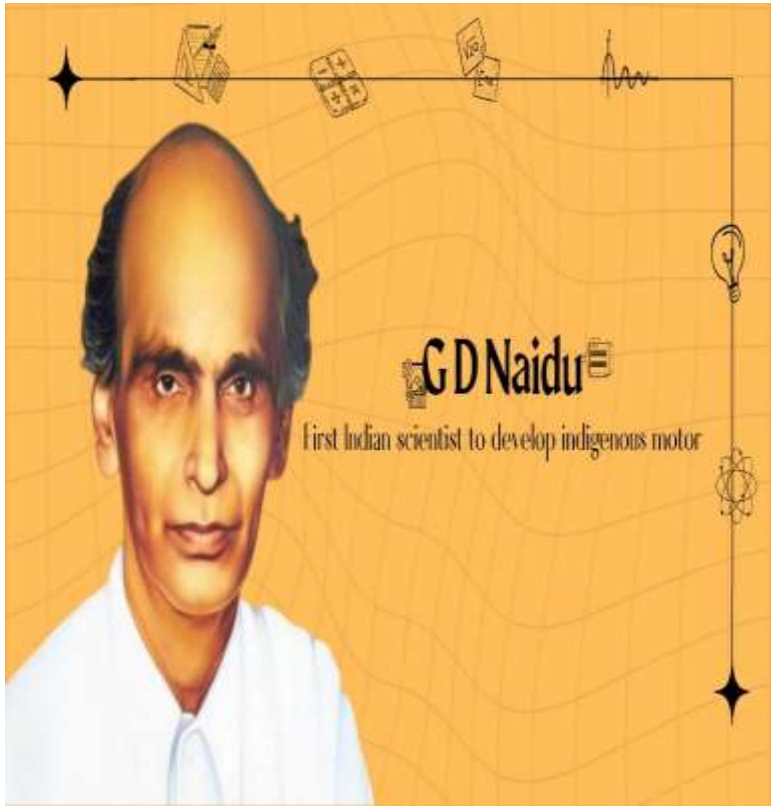
- **Urvashi Sahni, who provides education to underprivileged girls. She was named as one of the BBC 100 Women of 2017, for her work towards education and empowerment of girls and disadvantaged children in India.** She runs three k-12 schools in and around Lucknow, India. The schools reach out to over 6000 students in rural and urban areas, more than half of them coming from extremely poor and challenging backgrounds.

4. Based on Type of Ownership

a. Private Entrepreneurs: Private entrepreneurs own and manage their businesses as private entities. They have full control over business decisions and are directly responsible for the venture's success or failure. Private entrepreneurs often invest their own capital and bear the risks and rewards of the business.

Jeff Bezos, who started Amazon as a private business before taking it public, is a private entrepreneur. His vision and strategic leadership have transformed Amazon into a global e-commerce giant.

b. Public Entrepreneurs: Public entrepreneurs work **within public sector organizations or start ventures that have government ownership or support**. They focus on creating **public value and addressing societal needs** through their entrepreneurial activities. Public entrepreneurs often navigate bureaucratic challenges and work within regulatory frameworks.



- G. D. Naidu (**Gopalaswamy Doraiswamy Naidu)**, an **Indian inventor and entrepreneur**, collaborated with the government on various projects, contributing to public sector advancements in technology and industry.

GD NAIDU

Edison of India

2 SEATER PETROL ENGINE - 1952

UMS FACTORY - 1937

ELECTRIC MOTOR-1937

PHONOGRAPH - 1940

1920 - U.M.S (HIS FIRST BUS)

HIS FIRST MOTOR CYCLE

INDUSTRIAL EXHIBITION - 1967


EPIC DIGITAL ORIGINALS
EPICPEDIA 2
UNKNOWN FACTS OF INDIA
G.D. NAIDU
THE EDISON OF INDIA
VOTE RECORDING MACHINE
JUICE EXTRACTOR
COIN-OPERATED PHONOGRAPHS
ELECTRONIC CALCULATOR
16-MM PROJECTOR

c. Joint Entrepreneurs: Joint entrepreneurs form partnerships or joint ventures to combine resources, share risks, and capitalize on complementary skills. They collaborate with other entrepreneurs or organizations to achieve common business objectives. Joint ventures often involve shared ownership and decision-making.

- **Larry Page and Sergey Brin**, who co-founded Google, exemplify joint entrepreneurs. Their partnership and collaborative efforts led to the creation of one of the most influential technology companies in the world.

Major types of Entrepreneurships

RURAL ENTREPRENEURSHIP

- "Rural entrepreneurship involves creating and managing businesses in **rural areas**, **focusing on leveraging local resources and addressing rural needs or creating opportunities where they may be limited**.".
- In other words, **establishing industrial units in the rural areas** refers to rural entrepreneurship.
- These entrepreneurs play a crucial role in **stimulating economic development, creating jobs, and enhancing the quality of life** in rural communities.
- Rural entrepreneurs might **face unique challenges** such as limited **access to markets, capital, and skilled labor, as well as infrastructure constraints.** However, they also have **opportunities to innovate in sectors like agriculture, agribusiness, tourism, crafts, renewable energy, and other industries relevant to rural settings**.

- According to the **Khadi and Village Industries Commission (KVIC),** “Village industry or rural industry means any industry located in rural area, population of which **does not exceed 10,000** or such other figure which produces any goods or renders any services with or without use of power and in which the fixed **capital investment per head of an artisan or a worker does not exceed a thousand Rupees**”.
- The Government of India has recently modified the definition of village industry as any industry located in rural area, village or town with a **population of 20,000** and **below an investment of Rs. 3 crores in plant & machinery.** With this wider definition of village industries, a total of 41 new village industries have been added to the category of village industries.

All village industries have been classified into the following six categories:

1. Mineral-based industries
2. Forest-based industries
3. Agro-based industries
4. Engineering and non-conventional industries
5. Textile industry (including Khadi), and
6. Service industry

Characteristics of Rural Entrepreneurship

- **Local Resource Utilization:** Rural entrepreneurs often leverage local resources, including agriculture, handicrafts, and natural resources.
- **Community Impact:** Rural entrepreneurship contributes to local economic development, creating jobs and improving living standards.
- **Challenges:** Entrepreneurs in rural areas face challenges such as limited access to finance, infrastructure, and markets.

Example

Gyanesh Pandey grew up in a remote village in **west Champaran** district of Bihar, a region **lacking of power and lacking rural development**. He went on to become an engineer and pursued his masters from the USA, but it was his desire to Electrify his village that brought Gyanesh Pandey back from Los Angeles (2001).

For the next 5 years, he along with his friend experimented with several technologies but all of them failed initially. **It was then they had the idea to generate power from renewable farm waste (Husk)**. The rice Husk was used to supply power to micro power plants which generated electricity. A year later a company called **Husk Power Systems (HPS)** was set up which has gone on to set up numerous power plants across different villages.

Gyanesh Pandey

MANSUKHBHAI JAGANI

- Hailing from a family of poor farmers in Mota Devaliya village of **Amreli district**, **Gujarat**, Mansukhbhai is a popular rural entrepreneur. A school dropout, had to start helping his father in farming in his early years. But he always had a positive approach towards life and made sure these problems did not affect him.
- Soon, he ended up developing a **motorcycle-based tractor for India's poor farmers that are both, cost effective and fuel efficient**. He also developed an attachment for a motorbike to customize it – a multipurpose tool bar called **Bullet Santi** which can carry out various farming activities like furrow opening, sowing, inter-culturing, and spraying operations. This innovation, which led to increase in productivity, turned out to be a blessing for hundreds of farmers in India. **Bullet Santi has won a patent in India and US.**

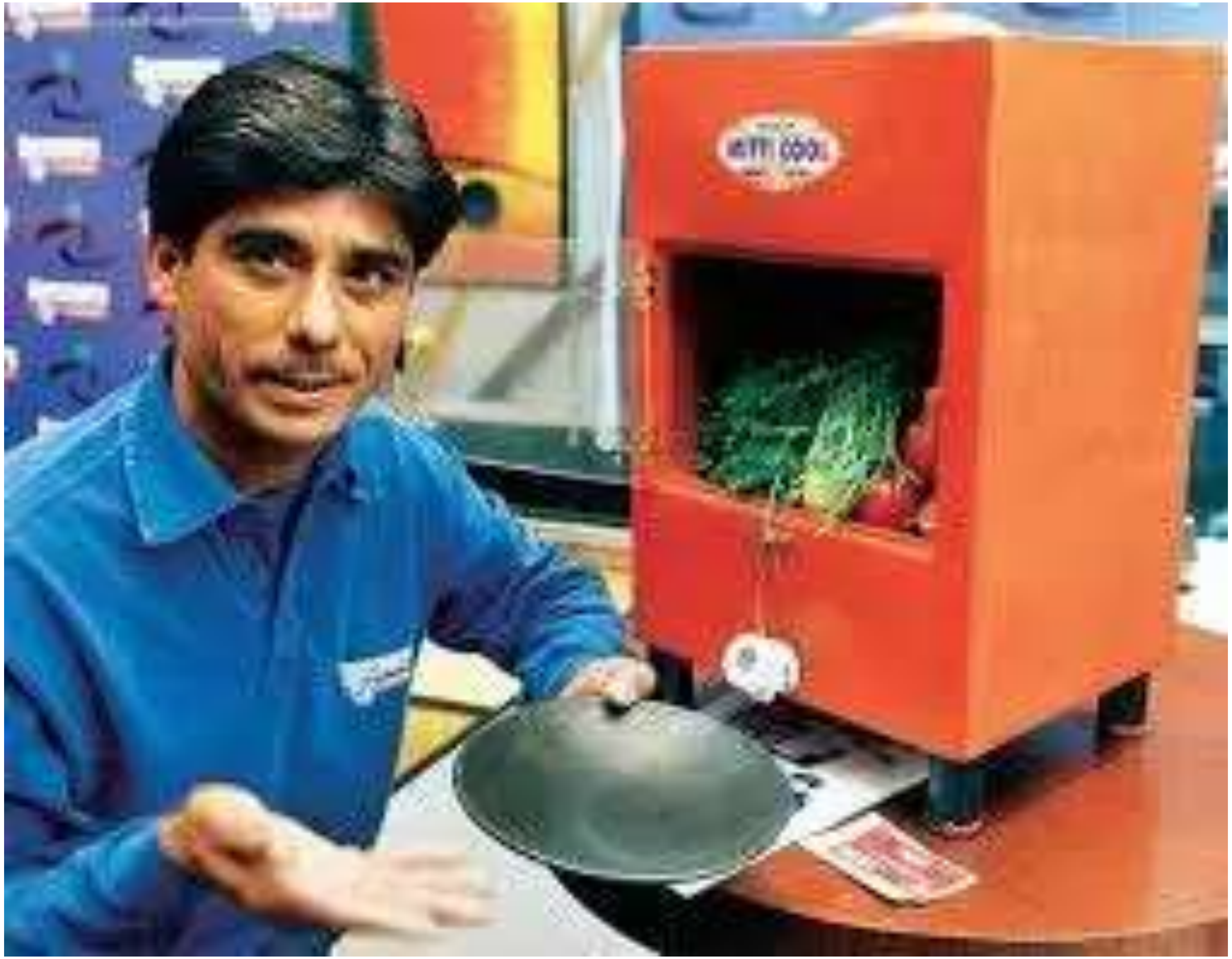
MANSUKHBHAI JAGANI

MANSUKHBHAI PRAJAPATI

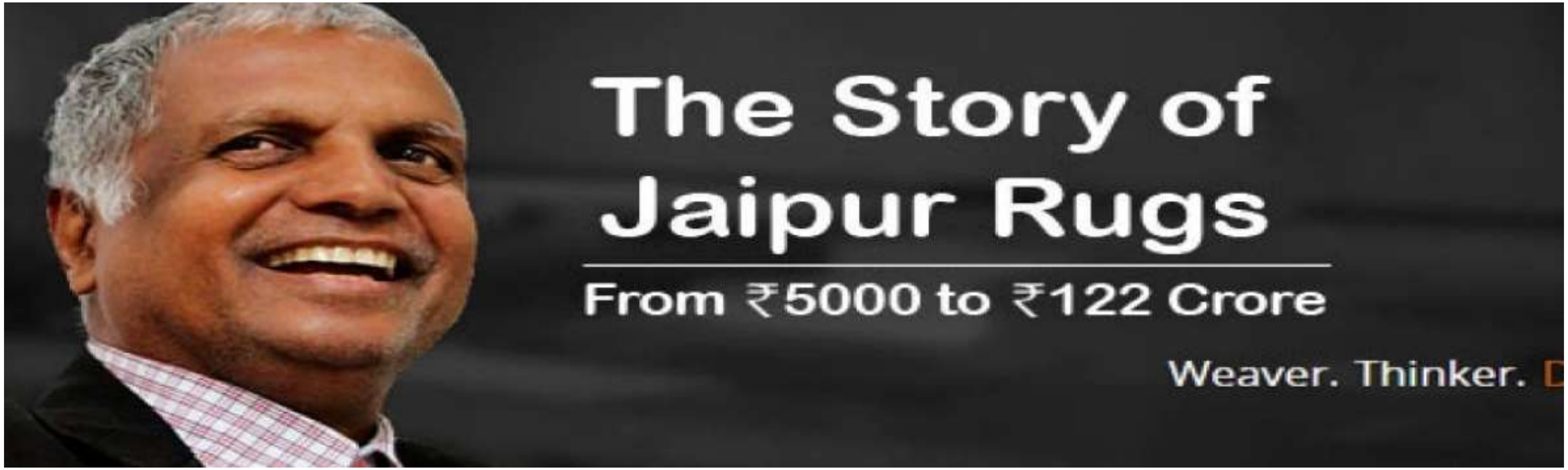
Born in the Prajapati family near **Rajkot**, Mansukhbhai grew up in the family of **clay-makers**. Thus, he acquired the skill since his childhood, which was full of hardships and turbulence. He started his journey from a tea stall and reached a point in life where he took a loan of Rs 30,000 for setting up his own earthen plate manufacturing factory.

He has brought about a revolution with his endeavor to reconnect people with clay and soil. With support from organizations, he launched **Mitticool** in 2002. **Mitticool refrigerators are affordable, energy efficient alternatives with no electricity aid to traditional fridges**.

MANSUKHBHAI PRAJAPATI - MITTI COOL



- **Lijjat Papad:** Started in 1959 by seven women in Mumbai, Shri Mahila Griha Udyog Lijjat Papad is a cooperative that produces papad and other products. It empowers rural women by providing them with employment opportunities and a source of income.
- **Jaipur Rugs:** Founded by Nand Kishore Chaudhary in 1978, Jaipur Rugs connects rural artisans with global markets, producing high-quality handmade rugs. It focuses on improving the livelihoods of rural weavers and preserving traditional craftsmanship.



WOMEN ENTREPRENEURSHIP

Women entrepreneurship refers to business ventures owned and managed by women.

According to **Government of India**, a women entrepreneur is defined as "an enterprise owned and controlled by a women having a minimum financial interest of 51 per cent of the capital and giving at least 51 per cent of the employment generated in the enterprise to women".

In short, women entrepreneurs are those women who think of a business enterprise, initiate it, organize and combine the factors of production, operate the enterprise and undertake risks and handle economic uncertainty involved in running a business enterprise.

Characteristics of Women Entrepreneurship

- **Diverse Sectors:** Women entrepreneurs are active in various sectors, including manufacturing, services, and technology.
- **Community Impact:** Women-led businesses often focus on social and community development, providing employment and fostering local economies.
- **Challenges:** Women entrepreneurs face unique challenges, including access to finance, balancing family responsibilities, and societal biases.

Vineeta Singh- Sugar Cosmetics

- Singh was born in **1983 in Anand, Gujarat**. She obtained an MBA from Indian Institute of Management Ahmedabad in 2007.she worked as a summer intern at Deutsche Bank and rejected a job despite an annual ₹1 crore salary.
- n 2007, Singh founded her **first startup Quetzal** which was providing **background verification checks to recruiters** . However, it failed to succeed. She started her **second startup Fab-Bag** in 2012, a **subscription platform** that provided **monthly deliveries of beauty products**. Her **third startup, Sugar** Cosmetics, Singh founded together with **her husband in 2015**. The company sells cosmetics and personal care products geared towards the Indian market.
- Recognizing a gap in the Indian beauty market for products catering to diverse skin tones and preferences, SUGAR offered vibrant, high-quality cosmetics at affordable prices.

Vineeta Singh- Sugar Cosmetics

Falguni Nayar – Nykaa

- Falguni Nayar, a self-made entrepreneur, has transformed the Indian beauty market with the founding of Nykaa, the country's **first online beauty e-marketplace**. she **quit her job in 2012** to launch her own e-commerce platform. In 2012, she officially founded the retail store and named it **Nykaa**.
- Falguni began **her professional career** by as a **Manager at A F Ferguson & Co.** She held important positions at **Kotak Securities** as the **Head of International Business** and, subsequently, as the **Director and Head of Institutional Equities Business**. Her wealth of skills combined with her spirit of entrepreneurship resulted in the establishment of Nykaa in 2012.

Falguni Nayar

- **Vandana Luthra (VLCC):** Vandana Luthra established VLCC in 1989 as a beauty and wellness company. It offers a wide range of services and products, focusing on transforming lives through wellness and beauty

Social entrepreneurship

- Social entrepreneurship involves **creating and managing ventures that address social, environmental, or cultural issues**. The **primary goal** is to **create social value rather than generate profit.**
- Social entrepreneurs are innovators who focus on creating products and services that solve social needs and problems. But unlike scalable startups their goal is to make the world a better place not to make market share or to create to wealth for the founders. They may be nonprofit, for profit, or hybrid.
- They focus on creating sustainable models that balance profit and purpose, aiming to address pressing issues such as poverty, education, health care, and environmental sustainability

Characteristics of Social Entrepreneurship

- **Social Mission:** The primary goal is to create positive social impact rather than maximizing profit.
- **Innovation:** Social entrepreneurs develop innovative solutions to address social issues.
- **Sustainability:** While profit is not the primary goal, social enterprises need to be financially sustainable to continue their mission.
- **Measurable Impact:** Success is measured by the social impact created, such as lives improved or environmental benefits achieved.

Anshu Gupta

- Anshu Gupta, founder of **Goonj**, is a celebrated social entrepreneur in India known for addressing the **clothing needs** of the **underprivileged**.
- Goonj transforms discarded clothes and materials into useful items for the poor while tackling **issues like menstrual hygiene and disaster relief, effectively turning waste into a resource and fostering dignity and self-reliance among marginalized communities.**
- Goonj is a social organization that facilitates the **redistribution** of used items such as clothes from urban areas to low-income families and street children in rural areas.

Anshu Gupta

Bindeshwar Pathak

- Bindeshwar Pathak, founder of **Sulabh International in 1970**, revolutionized sanitation in India by introducing **cost-effective and environmentally friendly public toilets**, known as Sulabh Shauchalayas.
- His social enterprise addresses the critical issue of open defecation and works towards the **social upliftment of untouchables, promoting hygiene, waste management, and the dignity of sanitation workers**.
- The organization works to promote human rights, environmental sanitation, non-conventional sources of energy, waste management and social reforms through education.

Bindeshwar Pathak

- It was a landmark in the history of sanitation when the system of operating and maintaining community toilets with bathing, laundry and urinal facilities (popularly known as Sulabh Shauchalaya Complex) **with attendants** service round-the-clock was initiated on the pay-and-use basis in Patna.
- Sulabh is operating and maintaining toilets at railway stations and temple towns across the country. It has more than 9,000 community public complexes in India present in 1,600 towns. These complexes have electricity and 24-hour water supply.

Bindeshwar Pathak

Selco India: Founded by Harish Hande in 1995, Selco India provides solar energy solutions to underserved communities. It aims to improve living standards through sustainable energy solutions, impacting over half a millions.

Technopreneurship

- Technopreneurship is coined from the words "technology" and "entrepreneurship". Technopreneurship is a simple entrepreneurship in a technology intensive context. It is a process of merging technology expertise and entrepreneurial talent and skills.
- Techno entrepreneurship involves **leveraging technological innovations to create new products, services, or processes**. It is typically associated with **high-tech industries**, including **information technology, biotechnology, and clean energy.**
- To be a successful Technopreneurship, a combination of technical skills, business savvy, and creative thinking skills are needed. This means that technopreneurs must have the ability to identify and solve problems, create and market innovative products or services, and manage the financial and operational aspects of their businesses.

Characteristics of Techno Entrepreneurship

- **Innovation:** At the core of techno entrepreneurship is innovation. This can range from creating entirely new products to improving existing technologies.
- **High Risk and High Reward:** Techno ventures typically involve significant risk due to high research and development costs and market uncertainties, but they also offer substantial rewards.
- **Scalability:** Technology-based businesses often have the potential for rapid scaling, reaching large markets quickly.
- **Knowledge and Expertise:** Success in techno entrepreneurship requires deep knowledge of the technology and the market.

Vijay Shekhar Sharma: Paytm

- Vijay Shekhar Sharma is an Indian entrepreneur and the founder of Paytm, one of the leading mobile commerce platforms in India.
- Vijay had a keen interest in technology from a young age. Despite financial constraints, he managed to pursue his education in computer science.
- In 2010, he founded **One97 Communications**, the parent company of Paytm, to provide a **mobile-first payment solution**.
- Paytm initially started as a **mobile recharge and bill payment platform**. The company later expanded its services to include mobile **wallets, digital payments, and e-commerce**. Recently in August 2025 Paytm received the license of Payment Aggregator.

Vijay Shekhar Sharma

Deepinder Goyal: Co-founder and CEO of Zomato.

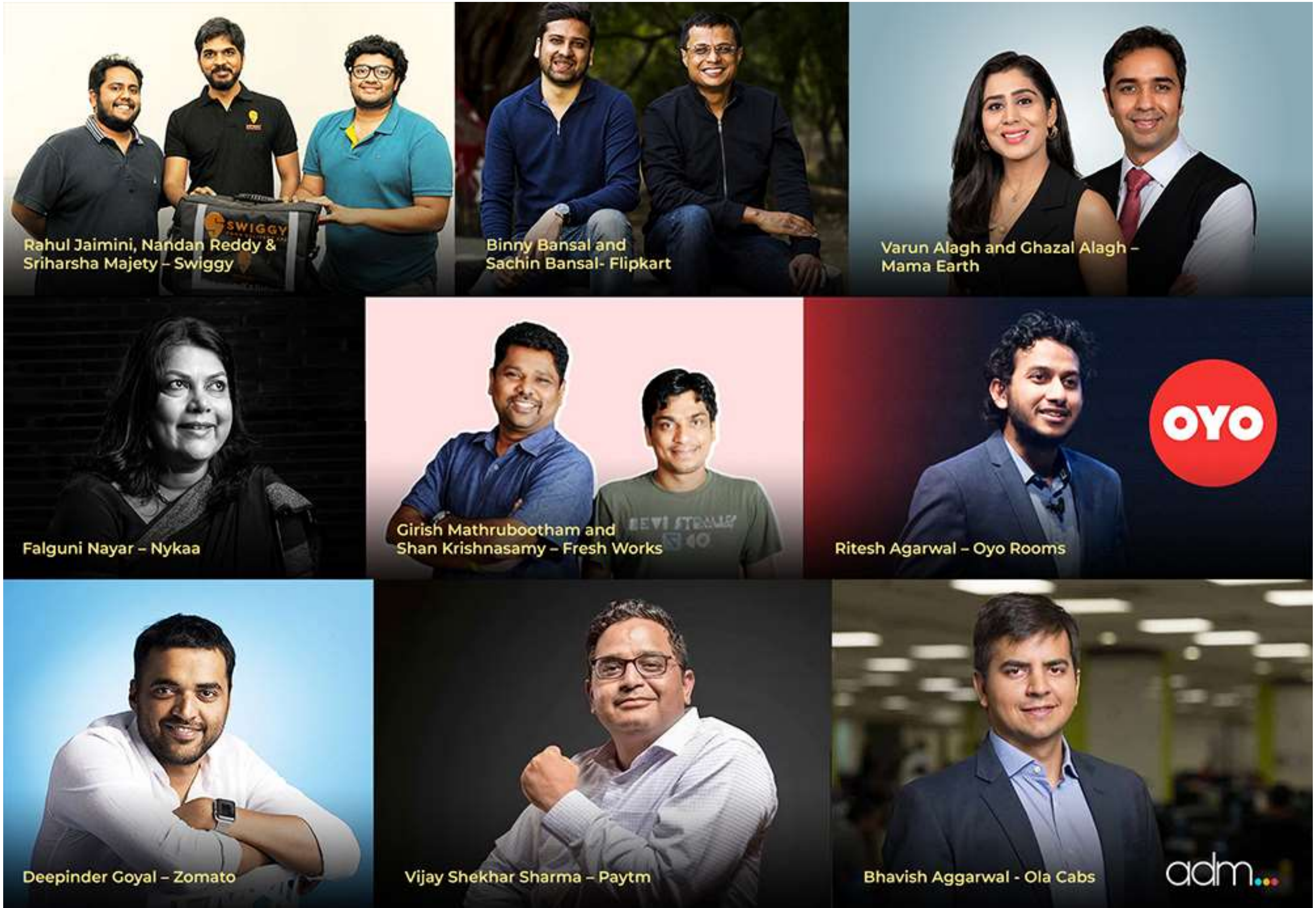
- In 2008, Goyal, in collaboration with **Pankaj Chaddah**, founded their food delivery company, initially named **Foodiebay**.
- A year later, **rebranded as Zomato**, the company expanded its footprint globally, reaching countries like South Africa, Canada, UAE, and New Zealand.
- Zomato was develop to **solve the problem of colleagues struggling to find restaurant menus**. They realized people **relied on word-of-mouth or outdated menus**, so they digitized restaurant information. The Zomato Guy has revolutionized the food industry with his Food Delivery App.
- Deepinder Goyal observed that ordering food was never easy. People used to wait in long que in restaurants to buy food.

Deepinder Goyal

Bhavish Aggarwal: Co-founder and CEO of Ola Cabs

- In 2010, Bhavish Aggarwal started his entrepreneurial journey driven by his personal experience and commitment to change the transportation system in India. He **co-founded Ola Cabs with Ankit Bhati** who is IITian from Jodhpur with a vision to revolutionize commuting through the power of technology, offering convenient and secure transportation options.
- They launched the website **Olatrips.com** on December 3, 2010, in Mumbai allowing their customers to book cars for outstation trips.

Bhavish Aggarwal


Rahul Jaimini, Nandan Reddy &
Sriharsha Majety – Swiggy
Binny Bansal and
Sachin Bansal- Flipkart
Varun Alagh and Ghazal Alagh –
Mama Earth
Falguni Nayar – Nykaa
Girish Mathrubootham and
Shan Krishnasamy – Fresh Works
OYO
Ritesh Agarwal – Oyo Rooms
Deepinder Goyal – Zomato
Vijay Shekhar Sharma – Paytm
Bhavish Aggarwal - Ola Cabs
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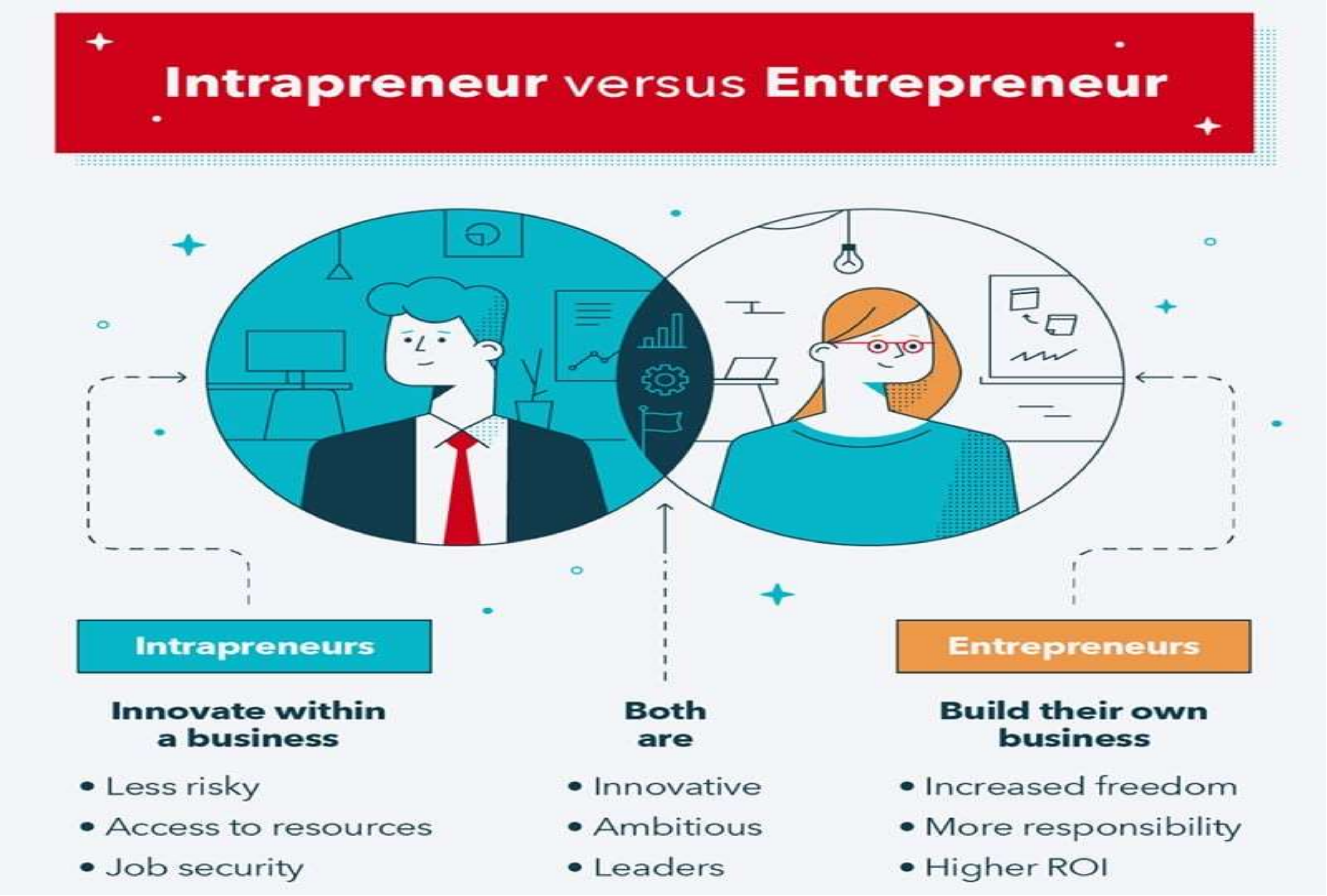
Intrapreneurship (Corporate Entrepreneurship)

- Intrapreneurship refers to a **system within a company or organization** that allows employees to act like entrepreneurs.
- Intrapreneurs are **self-motivated, proactive, and action-oriented** individuals who take the initiative to develop innovative products or services.
- Intrapreneurship involves employees within a corporation who act like entrepreneurs. They innovate and develop new products, services, or processes within the organization.
- At **Intel**, a group of intrapreneurs developed the company's first microprocessor, effectively revolutionizing the computer industry.
- **Google's** "20% time," which encouraged employees to spend 20% of their time on side projects, led to the creation of successful products like **Google News and AdSense**.
- At **3M**, a scientist's personal project to create a pressure-sensitive adhesive resulted in the **Post-it** Note, one of 3M's most iconic products.

Characteristics of Intrapreneurship

- **Innovation:** Intrapreneurs drive innovation within the organization, developing new ideas and solutions.
- **Risk-Taking:** Like entrepreneurs, intrapreneurs take risks, but within the relatively safe environment of a large organization.
- **Resource Utilization:** Intrapreneurs have access to the company’s resources, including funding, infrastructure, and networks.
- **Leadership Support:** Successful intrapreneurship requires support and encouragement from top management.


Intrapreneur versus Entrepreneur
Intrapreneurs
Innovate within a business
• Less risky
• Access to resources
• Job security
Both are
• Innovative
• Ambitious
• Leaders
Entrepreneurs
Build their own business
• Increased freedom
• More responsibility
• Higher ROI

McDonald's – The happiest meal

- Dick Brams’ and Yolanda’s idea to add toys to the respective meal, while Bernstein perfected the idea. Thus, each of them played an important part in the development of the Happy Meal.
- Thanks to these three, the Happy Meal is a hit worldwide and is one of the biggest revenue generators for the burger giant. Since the inception of the Happy Meal, McDonald’s has become the largest distributor of toys in the world.

Paul Buchheit’s - Gmail

- Paul Buchheit was an **engineer at Google** who had previously worked at Intel and Compaq.
- Buchheit came up with the idea of **providing users with massive storage, which was unheard of then.**
- He also introduced the concept of **threading emails**, which made it easier for users to keep track of conversations.
- In addition, he implemented a **powerful search function** that allowed users to easily find specific emails.
- Gmail was released to the public in 2004 and quickly became one of the successful launches of Google.

New coffee roast available

External | Inbox × | Wholesale Coffee • Contacted ×

Florrie Gomez <florrie@arbutus.io>

to Joelle

Tue, Mar 14, 11:17 AM

Hi Joelle,

We just developed a new roast that I think you'll be interested to try at Red Rooster Cafe. Can I send you some free samples? Let me know the best address to send them to.

Looking forward to hearing what you think!

Best,
Florrie

Joelle Rivera <riverajoelle85@gmail.com>

to me

Tue, Mar 14, 11:19 AM

Hi Florrie,

Looking forward to trying it out! You can send samples to:

123 Main Street
Anytown, USA
12345

Thanks!

Examples in India

- **Tata Group:** The Tata Group has a long history of fostering intrapreneurship. Tata Consultancy Services (TCS), one of the group's flagship companies, encourages employees to develop innovative solutions. For example, the **Tata InnoVista** program recognizes and rewards innovative projects by employees across the group.
- A prime example of intrapreneurship in India is the ITC **e-Choupal** initiative, where an employee proposed and developed a system to directly procure agricultural products from farmers, bypassing middlemen and providing farmers with online access to larger markets.

- **Godrej Group:** Godrej encourages intrapreneurship through its innovation cell, **Godrej Innovate**. The group of employees have developed several innovative products and solutions, such as the **Chotukool refrigerator**, a low-cost, energy-efficient appliance designed for rural markets.

Family businesses

- Family business entrepreneurship involves businesses owned and operated by family members, often passed down through generations.
- Family business, as the name suggests, is the business which is actively owned, operated and managed by two or more members of the single-family. Here, members may be related by blood, marriage or adoption. Basically, in a family business.

Characteristics of Family Business

- **Long-Term Orientation:** Family businesses often have a long-term perspective, focusing on sustainability and legacy.
- **Control and Ownership:** Control and ownership are typically concentrated within the family, leading to quick decision-making.
- **Succession Planning:** Ensuring smooth succession is crucial for the longevity of family businesses.
- **Values and Culture:** Family values and culture strongly influence business operations and decisions.

Tata group

- **The Tata Group was founded as a private trading firm in 1868 by Entrepreneur and philanthropist Jamsetji Tata**. In 1902 the group incorporated the Indian Hotels Company to commission the Taj Mahal Palace & Tower, the first luxury hotel in India, which opened the following year.
- After Jamsetji's death in 1904, his son **Sir Dorab Tata** took over as chair of the Tata Group. Under his leadership the group quickly diversified, venturing into a vast array of new industries. Following Dorab Tata's death in 1932.
- **Six years later (J.R.D.)** took over the position. His continued expansion of the company into new sectors—such as chemicals (1939), technology (1945), cosmetics (1952), marketing, engineering, and manufacturing (1954), tea (1962), and software services (1968) and thus earned Tata Group international recognition.
- In 1991 J.R.D.'s nephew, Indian Business Tycoon **Ratan Tata** succeeded him as chairman of the Tata Group.

- **Reliance Industries:** Established by Dhirubhai Ambani in 1966, Reliance Industries is a leading conglomerate in petrochemicals, refining, oil, and telecommunications. The business has seen significant growth under the leadership of Mukesh Ambani.
- **Godrej Group:** Founded in 1897 by Ardeshir Godrej and Pirojsha Godrej, the Godrej Group is involved in various sectors, including consumer goods, real estate, and agriculture. The family continues to play an active role in the business.
- **Birla Group:** The Aditya Birla Group, founded by Seth Shiv Narayan Birla in 1857, is a multinational conglomerate with interests in sectors like metals, cement, textiles, and telecommunications. The Birla family has been instrumental in its expansion and diversification.

Company	Country	Industry	Family Name
Walmart	USA	Retail	Walton
Berkshire Hathaway	USA	Conglomerate	Buffet
Hyundai	South Korea	Automotive	Chung
Samsung Group	South Korea	Conglomerate	Lee
BMW Group	Germany	Automotive	Quandt
Ford	USA	Automotive	Ford
Toyota Group	Japan	Automotive	Toyota
Reliance Industries	India	Conglomerate	Ambani
LG	South Korea	Consumer Electronics	Koo
Dell Technologies	USA	Computer Hardware	Dell
Tata Group	India	Conglomerate	Tata

Small Scale Enterprise

Small scale enterprises are those industries where business is done on a small scale. As per the latest update the definition of a small scale enterprise is where the business has an annual turnover not exceeding 50 crores, while the investment on plant and machinery is not exceeding 10 crores.

Problems for small scale enterprises

1. **Limited Access to Capital**

SSEs often struggle to secure sufficient financing due to **lack of collateral, poor credit history, or the high-risk perception** of small businesses by lenders.

- **Example**: **Chumbak**
  - Chumbak, a popular Indian brand known for its quirky lifestyle products, started as a small-scale enterprise in 2010. **Initially**, the founders struggled to secure sufficient capital to expand their business. Without strong financial backing, they had to rely on **personal savings and small loans**, which limited their ability to scale quickly. It was only **after securing venture capital funding** that they could expand their retail presence and product range.

2. High Operational Costs

Small enterprises may face higher per-unit costs for materials, utilities, and labor compared to larger firms, which can leverage economies of scale.

Example: **Goli Vada Pav**

Goli Vada Pav, a fast-food chain specializing in vada pavs (an Indian snack), faced high costs when expanding beyond Mumbai. The costs of setting up new outlets, maintaining consistent quality, and managing logistics in different cities were substantial.

3. Limited Market Reach

SSEs often have limited marketing budgets and resources, making it difficult to **reach a broad customer base or compete with larger companie**s.

Example: **Paper Boat**

- Paper Boat, known for its traditional Indian beverages, initially struggled with limited market reach. As a **small-scale enterprise**, it lacked the **distribution network** of larger beverage companies. Paper Boat began by focusing on **niche markets** like **airport stores and modern retail chains**, but it took time and significant effort to reach a broader audience across India.

4. Regulatory Challenges

Navigating complex regulations and compliance requirements can be devastating for small businesses with limited administrative capacity.

Example: **Amul (Early Days)**

- Although now a large cooperative, Amul faced significant regulatory challenges in its early days as a small dairy cooperative in Gujarat. The cooperative had to navigate **complex dairy regulations, licensing issues, and competition** from established dairy companies.

5. Technological Constraints

SSEs may lack access to modern technology, which can reduce their efficiency and competitiveness.

Example: Haldiram's (Early Years)Problem:

- Haldiram's, now a household name in India, began as a small sweet and snacks business in Nagpur. In its early years, the company faced technological constraints in its production process. The lack of access to advanced manufacturing technology meant that much of the production was manual, limiting the scale of operations and consistency in product quality. It was only after investing in modern machinery and technology that Haldiram's could scale up and meet the growing demand.

6. Difficulty in Hiring and Retaining Skilled Labor

SSEs often find it challenging to attract and retain skilled workers due to limited resources for competitive salaries, benefits, and career development opportunities.

Example: **Fabindia**

- Fabindia, a company that works with rural artisans to create traditional Indian apparel and home products, initially faced difficulties in hiring and retaining skilled artisans. As the company grew, maintaining the quality and uniqueness of its products while managing a decentralized workforce became a significant challenge. Fabindia had to invest in training programs and community development to retain its skilled labor force.

7. Supply Chain Vulnerabilities

Small businesses often depend on a limited number of suppliers, making them vulnerable to disruptions in the supply chain.

Example: **Parag Milk Foods**

- Parag Milk Foods, a dairy company known for its "Go" brand, faced supply chain vulnerabilities during its early years. Being a small player, the company struggled with ensuring a consistent supply of high-quality milk from farmers across different regions. Any disruption in the supply chain, such as **strikes or adverse weather conditions**, had a direct impact on their production and distribution.

8. Lack of Brand Recognition

Building a brand takes time and resources, which small enterprises often lack, making it difficult to stand out in a crowded market.

Example: **Sula Vineyards**

- Sula Vineyards, now one of India’s leading wine producers, started with a lack of brand recognition in a market dominated by international brands. The Indian wine market was emerging, and Sula had to work hard to build its brand and educate consumers about the benefits of locally produced **wine.** This was a slow process, requiring extensive marketing and participation in events to build a loyal customer base.

9. Cash Flow Management

Small businesses frequently experience cash flow problems due to irregular income, delayed payments from clients, or unexpected expenses.

Example: **Patil Automation**

- Patil Automation, a small-scale enterprise in Maharashtra that manufactures automation solutions for industries, **faced cash flow management issues.** As the company started getting larger orders, delays in payments from clients put a strain on its working capital. This made it difficult to manage day-to-day operations and fulfill new orders on time, risking their reputation and growth potential.

10. Competition from Larger Firms

Small enterprises often face intense competition from larger, more established firms with more resources and market presence.

Example: **Lijjat Papad**

- Lijjat Papad, a cooperative that produces traditional Indian papads faced intense competition from larger, mechanized papad manufacturers. These bigger firms had the advantage of **economies of scale**, allowing them to offer similar products at lower prices. Lijjat Papad, however, focused on **quality,** traditional methods, and community involvement to maintain its market share.

Industrial Sickness

- **A sick unit** is one which is unable to support itself through the operation of internal resources.
- A company who is struggling **financially with accumulated losses more than or equal** to its net worth is called a sick company.
- Industrial sickness usually refers to **a situation when an industrial firm performs poorly, incurs losses for several years and often defaults in its debt repayment obligations**.

Industrial Sickness – Special Provisions Act, 1985

The government defined industrial sickness for the first time in the **Sick Industrial Companies (Special Provisions) Act, 1985.**

According to this Act, a medium or large (i.e. non-SSI) company was defined as sick if:

“Sick Industrial Company” specify that an industrial company (registered for not less than seven years) showing accumulated losses equal to or exceeding its net worth at the end of any financial year, or suffering cash losses also during that financial year and the immediately preceding year.

Here, the “Cash loss” indicates computed loss without making provision for depreciation etc.

Net worth is the value of what you own (assets) minus what you owe (liabilities).

The formula for calculating net worth is:

Net worth = Assets - Liabilities

- **Companies Act, 2013** is titled "**Revival and Rehabilitation of Sick Companies**". The act defines **a sick company as one that has accumulated losses that are equal to or greater than its net worth at the end of a financial year.**
- It can also be defined as a company that has failed to pay or secure a debt from a creditor within a specified time.
- For example, if a creditor with 50% or more of a company's debt demands payment and the company fails to pay within 30 days, or fails to secure the debt, the company can be considered sick

- In such instance any of the Creditor, may file an application before the Tribunal that company may be declared as a sick company.
- The application shall be submitted with documentary evidences for example any agreement of loan, demand notice, account statements etc.
- The tribunal herein abovementioned is National Company Law Tribunal as defined in the section 2(90) of the Companies Act, 2013.
- The tribunal shall declare a company as sick company within 60 days of the application.

According to the criteria accepted by the **Reserve Bank of India**, “a sick unit is one which has reported cash loss for the year of its operation and in the judgment of the financing bank is likely to incur cash loss for the current year as also in the following year.”

Board of Industrial and Financial Reconstruction (BIFR):

The BIFR, which was established under the Sick Industrial Companies (Special Provisions) Act, 1985, had the authority to determine whether a company was a "sick industrial company" and to recommend **measures for its revival**.

However, the Companies Act, 2013, repealed the Sick Industrial Companies (Special Provisions) Act, 1985.

National Company Law Tribunal (NCLT):

Under the Companies Act, 2013, the National Company Law Tribunal (NCLT) has jurisdiction over matters related to the **revival and rehabilitation** of companies. It can hear cases involving the winding up of companies, mergers and amalgamations, and other issues related to corporate restructuring.

Example

Hindustan Motors

Hindustan Motors was one of India's oldest automobile manufacturers, known for the iconic Ambassador car. The company faced difficulties due to **outdated production methods, increased competition, and inability to adapt to modern automotive trends.**

In 2014, the company suspended operations at its Uttarpara plant in West Bengal, citing a lack of demand and financial losses. The plant was eventually declared sick.

Indian Iron and Steel Company (IISCO)

IISCO is India's oldest steel plant set up in the 1870s under British regime. It was nationalized in 1972 and made subsidiary of SAIL in March 1979.

IISCO faced a prolonged period of **financial distress** due to **mismanagement, obsolete technology, and poor financial planning**.

The company was declared sick in the 1990s and the ministry of steel has decided to merge the ailing Indian Iron & Steel Co (IISCO) with its parent, Steel Authority of India underwent a revival plan, which included modernization and infusion of capital. This helped in turning the company around.

Kingfisher Airlines

Kingfisher Airlines was a major player in India's aviation industry but **faced financial turmoil due to high operational costs**, **over-expansion, and a lack of focus on core operations, poor management decisions and mounting debt** (approx.) Rs. 7,000 crores.

The airline was grounded in 2012, and it was later declared a non-performing asset by lenders. The company's inability to recover led to its collapse and eventual bankruptcy.

Problems associated with industrial sickness

1. Mismanagement and Poor Financial Planning

Poor management practices, including lack of innovation, ineffective decision-making, and failure to adapt to changing market conditions, are often contributing factors to industrial sickness.

Example: Kingfisher Airlines

Kingfisher Airlines, once a major player in the Indian aviation industry, became a classic case of industrial sickness due to mismanagement and poor financial planning. The airline expanded aggressively without securing sufficient capital, leading to mounting debts. Misallocation of funds and an inability to manage operational costs resulted in the airline defaulting on loans, ultimately leading to its shutdown.

2. Outdated Technology

Industrial sickness is often linked to outdated technology, which can make it difficult for a company to compete in a market where competitors are using more advanced and efficient processes.

Example: HMT Watches

HMT Watches, a government-owned enterprise, was once the leading watch manufacturer in India. However, the company failed to upgrade its technology and product designs in line with market trends. As competitors adopted modern manufacturing processes and produced more fashionable products, HMT's reliance on outdated technology led to declining sales, eventually resulting in the company becoming sick and ceasing operations.

3. High Debt Burden

Insufficient working capital or inability to secure long-term funding can cripple operations, leading to financial distress. In an attempt to recover from financial distress, companies may take on additional debt, which can increase the financial burden and risk of insolvency.

Example: Bhushan Steel

Bhushan Steel, one of India's largest steel producers, fell into industrial sickness due to an overwhelming debt burden. The company borrowed heavily to finance expansion projects but was unable to generate sufficient returns to service its debt. The high interest payments and poor cash flow management led to the company defaulting on loans, resulting in insolvency proceedings and a subsequent takeover by Tata Steel.

4. Market Changes and Competition

Adverse market conditions, such as low demand for products, high competition, or unfavorable trade policies, can contribute to sickness. Companies in industrial sickness struggle to compete with healthier firms, leading to a loss of market share.

Example: Kodak India

Kodak India, a subsidiary of the global photography giant, faced industrial sickness due to its inability to adapt to market changes. The rapid shift from analog to digital photography caught Kodak off guard. The company failed to innovate and compete with new players in the digital space, leading to a sharp decline in sales and profitability. Eventually, Kodak India had to drastically downsize and restructure its operations.

5. Labor Issues and Strikes

Frequent labor unrest, strikes, or high labor costs can disrupt production and affect profitability. Sickness in an industry often leads to employee layoffs, wage cuts, and a decline in employee morale.

Example: Hindustan Motors

Hindustan Motors, once famous for producing the Ambassador car, suffered from industrial sickness partly due to labor issues and frequent strikes. The company's operations were frequently disrupted by labor unrest, leading to production delays and increased costs. Combined with outdated technology and declining market demand, these issues pushed the company into financial distress, leading to the closure of its manufacturing plant.

6. Environmental Challenges

Industrial units suffer due to abrupt changes in government policies, such as changes in taxation, import-export regulations, or subsidies. Financially distressed companies may struggle to meet regulatory requirements, including environmental, safety, and labor standards.

Example: Sterlite Copper (Thoothukudi Plant)

The Sterlite Copper plant in Thoothukudi, Tamil Nadu, was shut down following protests over environmental concerns and regulatory non-compliance. The closure led to significant financial losses and industrial sickness for the plant. The company faced accusations of polluting the environment, and the resulting legal and regulatory challenges forced the plant to cease operations, causing severe financial strain.

7. Overexpansion Without Market Support

Industrial units in sickness often find it difficult to raise fresh capital due to poor financial performance and high-risk perception among investors and lenders.

Example: Jet Airways

Jet Airways, once a major airline in India, fell into industrial sickness due to overexpansion and poor market support. The airline expanded its fleet and international routes aggressively without sufficient market research or financial backing. This led to excessive operational costs, coupled with rising fuel prices and intense competition, ultimately causing the airline to default on payments and suspend operations.

8. Failure to Innovate

Consumer preferences and market demands are constantly changing. Companies that do not innovate often fail to introduce new products or improve existing ones to meet these demands. This can result in a loss of market share as customers turn to competitors offering more modern or higher-quality alternatives.

Example: Nokia India

Nokia India, once the market leader in mobile phones, faced industrial sickness due to its failure to innovate. The company did not adapt quickly to the smartphone revolution, continuing to focus on feature phones while competitors like Samsung and Apple dominated the market with advanced smartphones. This inability to keep up with technological advancements led to a sharp decline in market share and profitability, forcing Nokia to exit the market.

9. Government Regulations

Unfavorable government regulations, such as high taxes, stringent environmental norms, or delays in policy implementation, can create an unfavorable business environment. Bureaucratic delays and red tape can also hinder business operations.

- **EXAMPLE:** Hindustan Antibiotics Limited (HAL), established in 1954, was the first public sector drug manufacturing company in India. It was a pioneering company in producing antibiotics, it played a crucial role in making affordable medicines available to the Indian population. The rigid price controls, lack of operational autonomy, and inadequate investment in modernization played key roles in the company's decline.
- By the early 2000s, it was classified as a sick company and referred to the Board for Industrial and Financial Reconstruction (BIFR). It is a prime example of how government regulation, when not balanced with the needs of the industry, can lead to industrial sickness.

Entrepreneurial trait test

An entrepreneurial trait test helps individuals assess their characteristics, skills, and abilities to determine how well-suited they are for entrepreneurship

Purpose of the Entrepreneurial Trait Test

- **Self-Assessment**: Helps individuals understand their strengths and areas for improvement.
- **Career Guidance**: Assists in deciding whether entrepreneurship is a suitable career path.
- **Skill Development**: Identifies key skills and traits that need enhancement.

Key Traits Assessed in the Test

1. **Risk Tolerance -** Ability to take calculated risks and handle uncertainty.
2. **Innovativeness -** Creativity and ability to think outside the box.
3. **Self-Motivation -** Drive and initiative to pursue goals without external pressure.
4. **Leadership -** Ability to lead and inspire others.
5. **Flexibility -** Capacity to bounce back from setbacks and failures.
6. **Networking Skills -** Ability to build and maintain professional relationships.
7. **Financial Insight -** Understanding of financial principles and management.
8. **Market Orientation -** Awareness of market needs and trends.

Types of Entrepreneurial Trait Tests

1. **Personality-Based Tests:** These tests assess personality traits associated with entrepreneurship.

Example: Big Five Personality Test (OCEAN Model):

- O: penness: Measures creativity, curiosity, and willingness to explore new ideas.
- C: onscientiousness: Measures diligence, self-control, and carefulness.
- E: xtraversion: Measures boldness, energy, and social interaction.
- A: greeableness: Measures kindness, helpfulness, and cooperativeness.
- N: euroticism: Measures anxiety, irritability, and mood swings.https://www.truity.com/test/big-five-personality-test

2. Behavioural Assessments: Behavioural assessments focus on evaluating how individuals behave in specific situations. These **tests may present scenarios related to entrepreneurship and assess responses to challenges, decision-making processes, and risk-taking behaviours.**

Example:

- **Jackson Personality Inventory – Risk Taking Scale**: Measures a **person's comfort with uncertainty and risk**. It measures an individual's **propensity to engage in situations with uncertain outcomes**, with a **high score indicating a greater enjoyment of gambling**, adventure, and taking chances, while a low score suggests a cautious and risk-averse approach to unpredictable situations and a reluctance to bet or take risks.

3. Cognitive Ability Tests: Cognitive ability tests measure intellectual traits such as **problem-solving skills, analytical thinking, creativity, and decision-making abilities**. These traits are important for identifying opportunities and making strategic business decisions.

Example:

- **Torrance Tests of Creative Thinking (TTCT)**: Developed by Ellis Paul Torrance, the TTCT assesses creativity through both verbal and figural tasks. This test **measures fluency, originality, elaboration, and flexibility of ideas**. They are a set of assessments designed to **measure different aspects of creative thinking, particularly divergent thinking, which is the ability to generate multiple, novel ideas in response to a prompt.**

4. Motivational Assessments: These assessments evaluate an individual's motivation and drive, particularly in relation to entrepreneurial goals. They may explore the need for achievement, desire for autonomy, and other motivational factors that influence entrepreneurial behaviour.

Example:

- **McClelland's Achievement Motivation Test (nAch test)**: Identifies if a person is motivated by achievement, power, or affiliation. Entrepreneurs usually have high achievement motivation.

5. Entrepreneurial Intent and Self-Efficacy Tests: These tests assess an individual's **intention to start a business and their belief in their ability to succeed as an entrepreneur**. Entrepreneurial **self-efficacy refers to the confidence in one's skills and knowledge to perform entrepreneurial tasks.**

Example:

- **Myers-Briggs Type Indicator (MBTI)**: **Identifies personality preferences such as "INTJ" or "ESFP.** Theory, categorizing individuals into one of 16 personality types based on their preferences in four dichotomous areas Extraversion (E) vs. Introversion (I), Sensing (S) vs. Intuition (N), Thinking (T) vs. Feeling (F), and Judging (J) vs. Perceiving (P).
- It is used for **self-understanding, improving interpersonal awareness, and enhancing team dynamics,** although its scientific reliability and validity have been questioned by some researchers.

What's Your Personality Type?

Use the questions on the outside of the chart to determine the four letters of your Myers-Briggs type.
For each pair of letters, choose the side that seems most natural to you, even if you don't agree with every description.

1. Are you outwardly or inwardly focused? If you:

- Could be described as talkative, outgoing
- Like to be in a fast-paced environment
- Tend to work out ideas with others, think out loud
- Enjoy being the center of attention

then you prefer

E
Extraversion

- Could be described as reserved, private
- Prefer a slower pace with time for contemplation
- Tend to think things through inside your head
- Would rather observe than be the center of attention

then you prefer

I
Introversion

2. How do you prefer to take in information? If you:

- Focus on the reality of how things are
- Pay attention to concrete facts and details
- Prefer ideas that have practical applications
- Like to describe things in a specific, literal way

then you prefer

S
Sensing

- Imagine the possibilities of how things could be
- Notice the big picture, see how everything connects
- Enjoy ideas and concepts for their own sake
- Like to describe things in a figurative, poetic way

then you prefer

N
Intuition

ISTJ
Responsible, sincere, analytical, reserved, realistic, systematic. Hardworking and trustworthy with sound practical judgment.

ISFJ
Warm, considerate, gentle, responsible, pragmatic, thorough. Devoted caretakers who enjoy being helpful to others.

INFJ
Idealistic, organized, insightful, dependable, compassionate, gentle. Seek harmony and cooperation, enjoy intellectual stimulation.

INTJ
Innovative, independent, strategic, logical, reserved, insightful. Driven by their own original ideas to achieve improvements.

ISTP
Action-oriented, logical, analytical, spontaneous, reserved, independent. Enjoy adventure, skilled at understanding how mechanical things work.

ISFP
Gentle, sensitive, nurturing, helpful, flexible, realistic. Seek to create a personal environment that is both beautiful and practical.

INFP
Sensitive, creative, idealistic, perceptive, caring, loyal. Value inner harmony and personal growth, focus on dreams and possibilities.

INTP
Intellectual, logical, precise, reserved, flexible, imaginative. Original thinkers who enjoy speculation and creative problem solving.

ESTP
Outgoing, realistic, action-oriented, curious, versatile, spontaneous. Pragmatic problem solvers and skillful negotiators.

ESFP
Playful, enthusiastic, friendly, spontaneous, tactful, flexible. Have strong common sense, enjoy helping people in tangible ways.

ENFP
Enthusiastic, creative, spontaneous, optimistic, supportive, playful. Value inspiration, enjoy starting new projects, see potential in others.

ENTP
Inventive, enthusiastic, strategic, enterprising, inquisitive, versatile. Enjoy new ideas and challenges, value inspiration.

ESTJ
Efficient, outgoing, analytical, systematic, dependable, realistic. Like to run the show and get things done in an orderly fashion.

ESFJ
Friendly, outgoing, reliable, conscientious, organized, practical. Seek to be helpful and please others, enjoy being active and productive.

ENFJ
Caring, enthusiastic, idealistic, organized, diplomatic, responsible. Skilled communicators who value connection with people.

ENTJ
Strategic, logical, efficient, outgoing, ambitious, independent. Effective organizers of people and long-range planners.

3. How do you prefer to make decisions? If you:

- Make decisions in an impersonal way, using logical reasoning
- Value justice, fairness
- Enjoy finding the flaws in an argument
- Could be described as reasonable, level-headed

then you prefer

T
Thinking

- Base your decisions on personal values and how your actions affect others
- Value harmony, forgiveness
- Like to please others and point out the best in people
- Could be described as warm, empathetic

then you prefer

F
Feeling

4. How do you prefer to live your outer life? If you:

- Prefer to have matters settled
- Think rules and deadlines should be respected
- Prefer to have detailed, step-by-step instructions
- Make plans, want to know what you're getting into

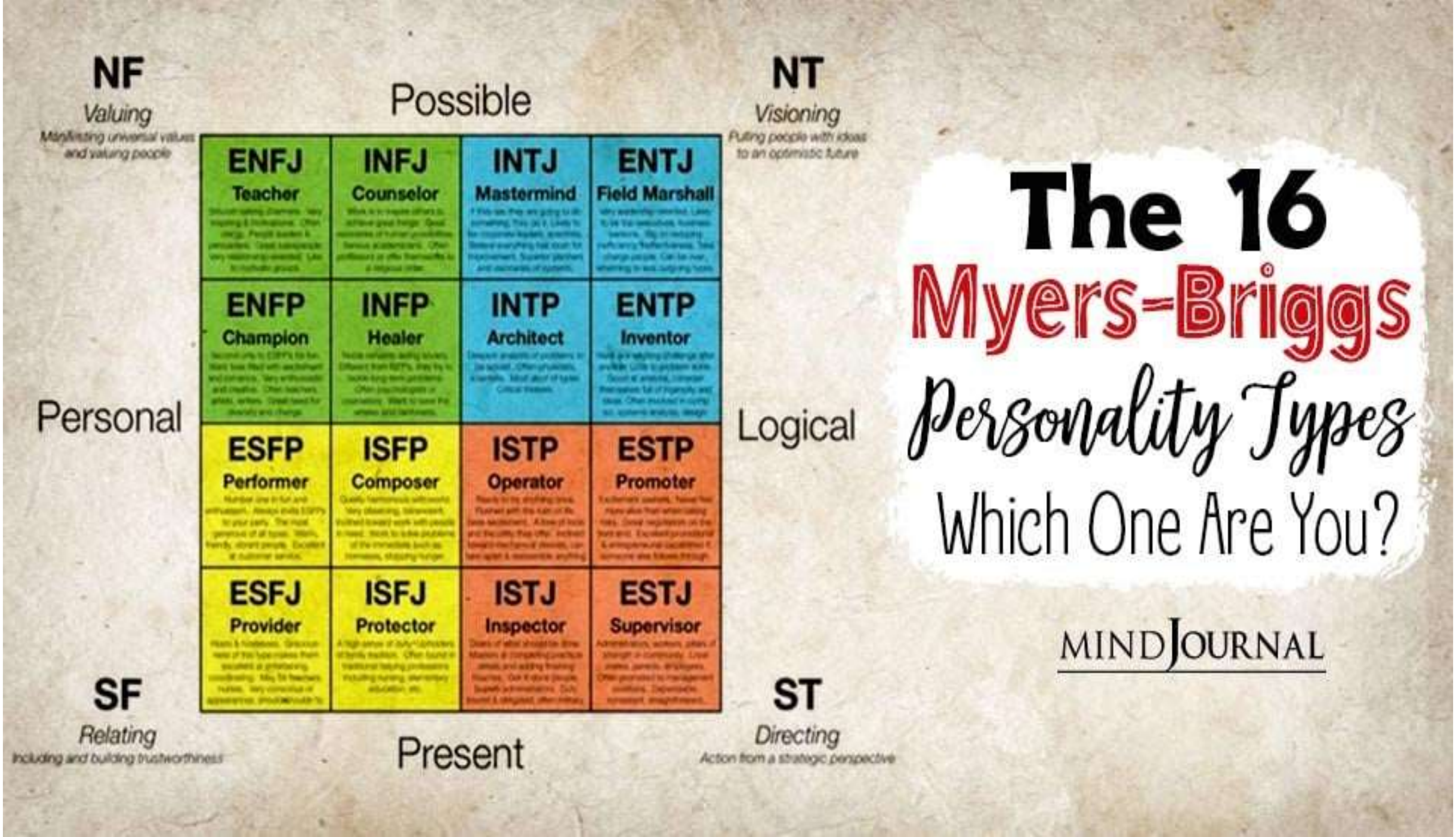
then you prefer

J
Judging

- Prefer to leave your options open
- See rules and deadlines as flexible
- Like to improvise and make things up as you go
- Are spontaneous, enjoy surprises and new situations

then you prefer

P
Perceiving


NF
Valuing
Manifesting universal values and valuing people
Possible
NT
Visioning
Pulling people with ideas to an optimistic future
ENFJ
Teacher
INFJ
Counselor
INTJ
Mastermind
ENTJ
Field Marshall
ENFP
Champion
INFP
Healer
INTP
Architect
ENTP
Inventor
Personal
Logical
ESFP
Performer
ISFP
Composer
ISTP
Operator
ESTP
Promoter
ESFJ
Provider
ISFJ
Protector
ISTJ
Inspector
ESTJ
Supervisor
SF
Relating
Including and building trustworthiness
Present
ST
Directing
Action from a strategic perspective
The 16
Myers-Briggs
Personality Types
Which One Are You?
MINDJOURNAL

6. Situational Judgment Tests (SJTs): SJTs present hypothetical business scenarios and ask individuals to choose the best course of action. These tests evaluate **decision-making, problem-solving, and ethical considerations** in entrepreneurial contexts.

Example:

- **Connor-Davidson Resilience Scale (CD-RISC)**:It is a 25-item self-report questionnaire developed by Kathryn M. Connor and Jonathan R.T. The scale uses a 5-point rating system, **with higher scores indicating greater resilience**, and has demonstrated good psychometric properties including reliability and validity across various populations. It assesses resilience through five main factors: **personal competence, trust in one's instincts, positive acceptance of change, control, and spiritual influences**.

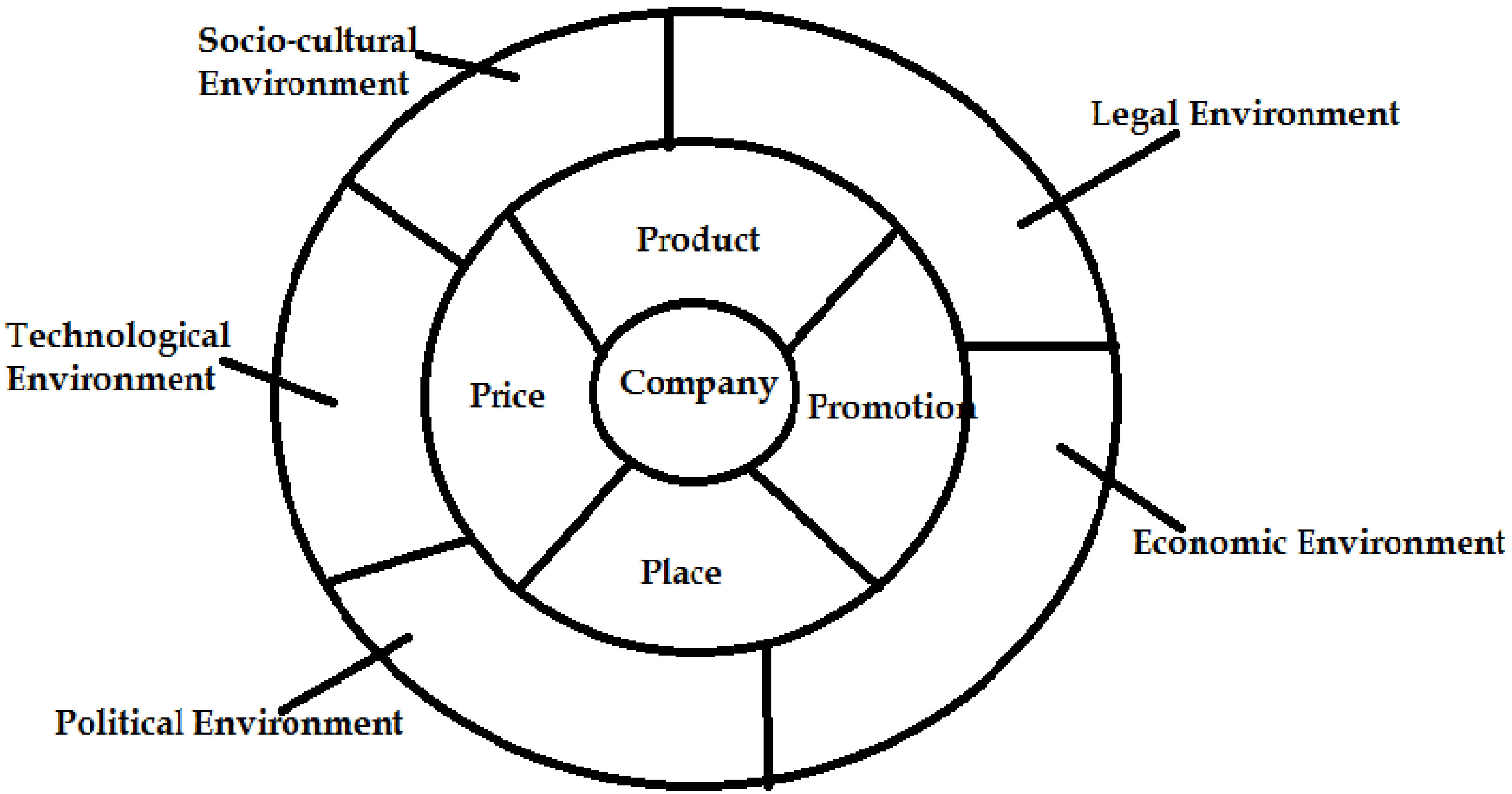
7. 360-Degree Feedback Assessments: These assessments gather feedback from multiple sources, including peers, subordinates, and supervisors, to evaluate an individual's entrepreneurial traits. This holistic approach provides a comprehensive view of an individual's strengths and areas for improvement.

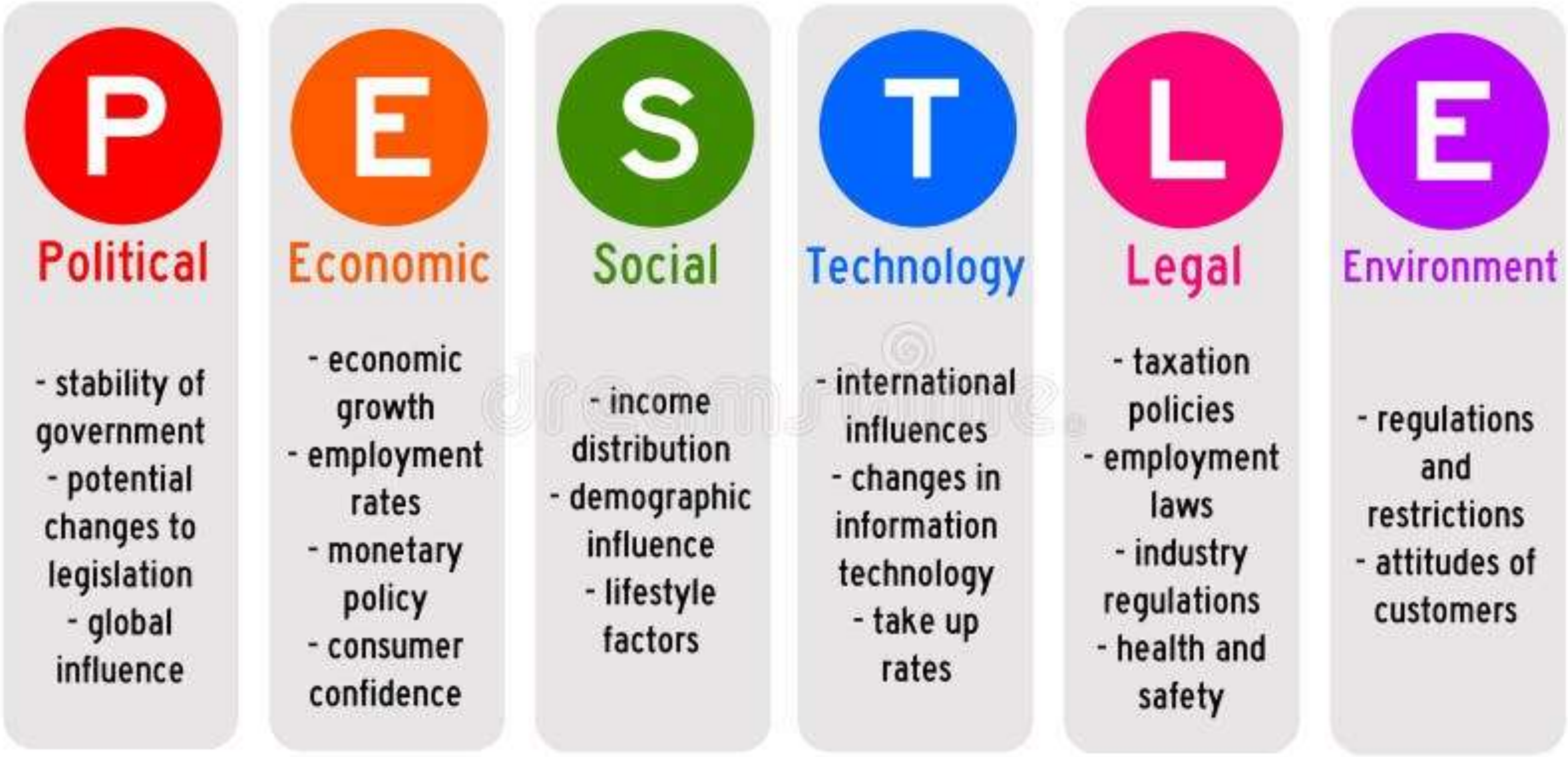
Take a test and check your entrepreneurship traits.

1. Self-assessment, test your entrepreneurial potential | BDC.ca

2. Free Big Five Personality Test - Accurate scores of your personality traits

Entrepreneurial Environment (PESTLE)




P
Political
- stability of government
- potential changes to legislation
- global influence
E
Economic
- economic growth
- employment rates
- monetary policy
- consumer confidence
S
Social
- income distribution
- demographic influence
- lifestyle factors
T
Technology
- international influences
- changes in information technology
- take up rates
L
Legal
- taxation policies
- employment laws
- industry regulations
- health and safety
E
Environment
- regulations and restrictions
- attitudes of customers

PESTLE analysis

- PESTLE analysis is a **strategic tool that businesses use to evaluate the external macro-environmental factors influencing their operations and market position.**
- The acronym PESTLE stands for Political, Economic, Social, Technological, Legal, and Environmental factors.
- By understanding these elements, companies can **identify potential opportunities and threats**, inform strategic planning, and gain a **competitive advantage**.

Political Factors

- **Trade barriers:** Trade barriers are regulations that governments put in place to protect domestic businesses from international competition. Governments may impose tariffs on imports or provide subsidies to help boost support and sales for domestic businesses.
- **Tax policies:** Businesses must follow numerous tax regulations, such as obtaining an Employer Identification Number. Governments may also establish policies that increase or decrease the taxes corporations pay.
- **Political stability:** The political stability of a government can affect businesses in that country. For example, if there are protests and strikes against government actions, businesses may see a temporary pause in consumer support.
- **International relations:** A country's relationships with other nations can directly impact a business' ability to export and import goods and services. For example, during a trade war, a company may not be able to import materials they need from the other nation involved in production.
- **Regulatory practices and governing bodies**
- **Influential political leaders and their ideas**

Economic Environment

- The economic environment includes factors such as the overall **economic climate, market conditions, availability of capital, and infrastructure**.
- A stable and growing economy tends to encourage entrepreneurship by providing a conducive environment for business operations.
- Economic factors can **directly impact business operations** and profits. Economic and political factors may overlap, such as monetary policies that governments establish.

Economic factors

- ***Access to Capital:*** Availability of financial resources, including venture capital, angel investment, and loans, is critical for entrepreneurs. An environment with accessible and affordable capital fosters innovation and business creation.
- ***Market Conditions:*** A thriving market with demand for goods and services encourages entrepreneurship. Market size, competition, and customer purchasing power are important considerations.
- ***Economic Policies:*** monetary policies, fiscal policies and their components such as tax incentives, subsidies, many more can stimulate entrepreneurial activity. Policies that reduce barriers to entry and support small businesses are particularly beneficial.
- **Economic growth**
- **The current phase of the Trade Cycle (Expansion, Depression, etc)**
- **Inflation rates**
- **Unemployment Rates**
- **Consumer Spending potential.**
- **GDP, Per capita Income, and many more**

Social

Everything that goes on in a society greatly affects the organisation. Therefore, it is important to analyse social factors while studying the social environment.

- ***Cultural Attitudes:*** Societies that **value innovation, risk-taking, and self-employment** tend to produce more entrepreneurs. Cultural acceptance of entrepreneurship can inspire individuals to pursue business ventures.
- ***Education and Training:*** Access to education and entrepreneurship training programs is essential for developing the skills and knowledge needed to start and manage a business. Entrepreneurial education fosters creativity, problem-solving, and business acumen.
- ***Social Networks:*** Strong social networks provide entrepreneurs with resources, mentorship, and support. Networks can include family, friends, business associations, and online communities.
- **Consumer Buying Patterns**
- **Religious and Cultural factors**
- **Lifestyle trends.**
- **Income Distribution**
- **Demographic factor**

Technological Environment

The technological environment **includes the availability and advancement of technology**, which plays a significant role in modern entrepreneurship. Technology enables innovation, efficiency, and scalability in business operations. The changes in the technological environment can be either an **opportunity or a threat** to the firm. Hence, some technological factors that affect organization are as follows:

- **Access to Technology:** Entrepreneurs benefit from access to the **latest technologies, including digital tools, communication platforms, and automation. Technology lowers barriers to entry and opens up new markets.**
- **Innovation Ecosystem:** A strong innovation ecosystem, including **research institutions, incubators, and technology parks**, supports the development of new ideas and products. **Collaboration between entrepreneurs, academia, and industry drives technological advancements**.
- **Digital Infrastructure:** Robust digital infrastructure, such as high-speed internet and cloud computing, is essential for e-commerce, remote work, and global business operations.
- **New MEANS of production technology.**

Legal

Legal factors are the laws of the country in which a business resides.

- **Health and safety:** Health and safety laws and regulations require businesses to follow practices that ensure the health and safety of employees and customers.
- **Consumer rights:** Consumer rights laws hold businesses accountable for maintaining consumers' rights, such as information privacy and safety.
- **Labor laws:** Labor laws might include things like minimum age and minimum wage for employees, as well as the maximum number of hours an employee can work in a shift. Businesses must adhere to labor laws to ensure they provide proper treatment to their employees.
- **Environment Laws and guides**
- **International Trade Agreements and Treaties**
- **Regional/Local Laws and Circulars**
- **Industrial Act**

Environmental

- **Sustainability:** Entrepreneurs should adopt sustainable practices to address environmental challenges such as climate change, resource depletion, and waste management. Green entrepreneurship and social enterprises focus on creating positive environmental impact.
- **Regulatory Compliance:** Environmental regulations, such as **emissions standards and waste disposal laws,** affect how businesses operate. Compliance with these regulations is necessary to avoid legal penalties and contribute to environmental conservation.
- **Environmental laws:** regulations that protect the environment from toxins and pollution.
- **Energy/Power Consumption**
- **Safe Waste Disposal**
- **Dealing with hazardous material.**
- **Other natural Factors.**

Tata Motors

Political

- **Influence of political parties**: Political Confrontation and intervention of **regional political parities** in the operations of the company stands as a threat to the company. Shifting of Tata Nano plant out of Singur in WB to Gujarat.
- **Government Policies**: The Indian **government's push for electric vehicles (EVs)** influences Tata Motors to invest in EV technology and infrastructure. Tata Motors has benefited from government subsidies on electric vehicles, helping it lead in the EV segment in India
- **Trade Policies**: International trade agreements and tariffs impact Tata Motors' exports and imports, especially with the growing focus on "**Make in India**." The Make in India initiative has also encouraged the company to increase domestic production.

Economic

- **Economic Growth**: India's economic growth directly affects Tata Motors’ sales, particularly in the commercial vehicle segment, which is sensitive to infrastructure development. During the **economic slowdown in 2019, Tata Motors saw a decline in sales**, particularly in its commercial vehicle segment, due to reduced industrial activity and lower consumer spending.
- **Interest Rates**: **Higher interest rates** lead to reduced consumer **spending on automobiles**, affecting Tata Motors’ sales. Tata Motors has to adjust its pricing strategies and offers based on these economic conditions.
- **Exchange Rates**: Fluctuations in the exchange **rate impact the cost of imports for Tata Motors**, affecting its profitability. The depreciation of the Indian Rupee against the US Dollar increases the **cost of imported raw materials and components,** thereby squeezing profit margins for Tata Motors.

Social

- **Consumer Preferences**: There's a **shift towards environmentally friendly vehicles,** pushing Tata Motors to focus on electric vehicles and hybrids. The launch of the **Tata Nexon EV** was a response to the increasing demand for eco-friendly vehicles in urban India, driven by a more environmentally conscious middle class.
- **Urbanization**: **Rapid urbanization** increases demand for personal vehicles, while also creating opportunities in the public transportation segment. **Tata Motors' Tiago and Altroz** models cater to this demand for compact and efficient urban vehicles.
- **Income Levels Changing Lifestyle:** The **rise in disposable income and changing lifestyles** has led to **increased demand** for **premium vehicles and SUVs**. Tata Motors has expanded its SUV portfolio with models like the **Tata Harrier and Tata Safari**, targeting the growing market for luxury SUVs.

Technological

- **Innovation**: Tata Motors invests in **R&D** to stay competitive, **focusing on electric vehicles, connectivity features, and autonomous driving technologies**. The **Tata Nexon EV**, developed with the **company's in-house electric powertrain technology**, has become one of the best-selling electric vehicles in India.
- **Automation**: Technological advancements in manufacturing processes (like **robotics and AI**) are crucial for Tata Motors to improve efficiency and reduce costs. The company's manufacturing facilities are increasingly adopting Industry 4.0 practices, such as **predictive maintenance and robotics, to streamline production and improve quality**.
- **Digital Transformation**: The company adopts **digital solutions for customer engagement, supply chain management, and operations**. Tata Motors' investments in developing **connected car technologies**, such as the **ZConnect app** for the Nexon EV, demonstrate its focus on technological innovation.

Legal

- **Compliance**: Tata Motors must comply with various laws and regulations, including **labor laws, safety standards, and corporate governance norms.** Tata Motors complies with this act by ensuring that all vehicles meet the required safety standards and emission norms before they are sold.
- **Intellectual Property**: **Protecting patents and trademarks** is essential for Tata Motors, especially as it **invests heavily in R&D.** Tata Motors has secured **multiple patents for its EV technology** and **design innovations**, helping it maintain a competitive edge in the market.
- **Consumer Protection Laws**: Ensuring compliance with consumer protection laws is vital to maintaining customer trust and avoiding legal issues. Tata Motors adheres to this law **to avoid anti-competitive practices, ensuring fair pricing and availability of vehicles and parts**.
- **Regulations**: Stricter emission norms (like **Bharat Stage VI**) require Tata Motors to upgrade its technology and production processes.

Environmental

- **Sustainability**: Tata Motors focuses on **reducing its carbon footprint by developing eco-friendly vehicles and adopting sustainable practices in manufacturing**. The company’s production facilities have been working towards **reducing water and energy consumption, with some plants achieving zero liquid discharge status.**
- **Climate Change Impact**: Compliance with environmental regulations (like emission norms) is crucial for Tata Motors to avoid penalties and enhance its brand reputation. The increasing focus on climate change and its impact on businesses has pushed Tata Motors to focus on producing cleaner, more sustainable vehicles. **Tata Motors' commitment to electric vehicles is part of its broader strategy to address the challenges of climate change and align with global environmental goals**.
- **Resource Management**: The company invests in **energy-efficient technologies and renewable energy sources** to manage its resources effectively. **Proper disposal of industrial waste and recycling** is critical for Tata Motors. Tata Motors has implemented robust waste management practices across its plants, including the use of renewable energy sources and recycling of industrial by-products.

Airbnb PESTLE Analysis Example

Political

- **Housing laws and vacation rental bans** in some markets conflict with business model.
- Varying **tax rates** from counties and countries.

Economic

- The **housing crisis and crunch** in the housing market.
- Varying prices and availability of **hotels** as a primary competitor.

Social

- Increase **access and desirability of travel**.
- Resistance from locals about **the impact of vacation rentals in residential areas**.
- **Social acceptance of ridesharing and travel sharing business model.**

Technology

- Increased reliance on **mobile apps and other digital solutions**.
- Increasing security of online payment systems.

Legal

- **Legal challenges** in some states and countries.

Environmental

- Environmental impact of **single-use products for hospitality**.

Motivation

- Motivation is one of the driving forces behind human behavior.
- Motivation refers to a process of inducing and stimulating an individual to act in certain manner.
- In the context of an organisation, motivation implies encouraging and urging the employees to perform to the best of their capabilities so as to achieve the desired goals of the organisation.

Types of Motivation

Intrinsic motivation

- Intrinsic motivation **comes from within**. It's driven by c**lose-held beliefs and values, such as acceptance, honor, desire to achieve, and curiosity**.
- In other words, intrinsic motivation is all about **what makes *you* feel good without an external reward**.

Examples:

- Going to the gym to lose weight.
- Improving your diet.
- Learning new skills.
- Playing games or sports for fun.
- Helping someone with no expectation of reward.
- Donating to or volunteering with a charity.

Extrinsic motivation

- Extrinsic motivation is **triggered by external factors: rewards, recognition, or avoidance of punishment**. It is obtained by completing an activity.

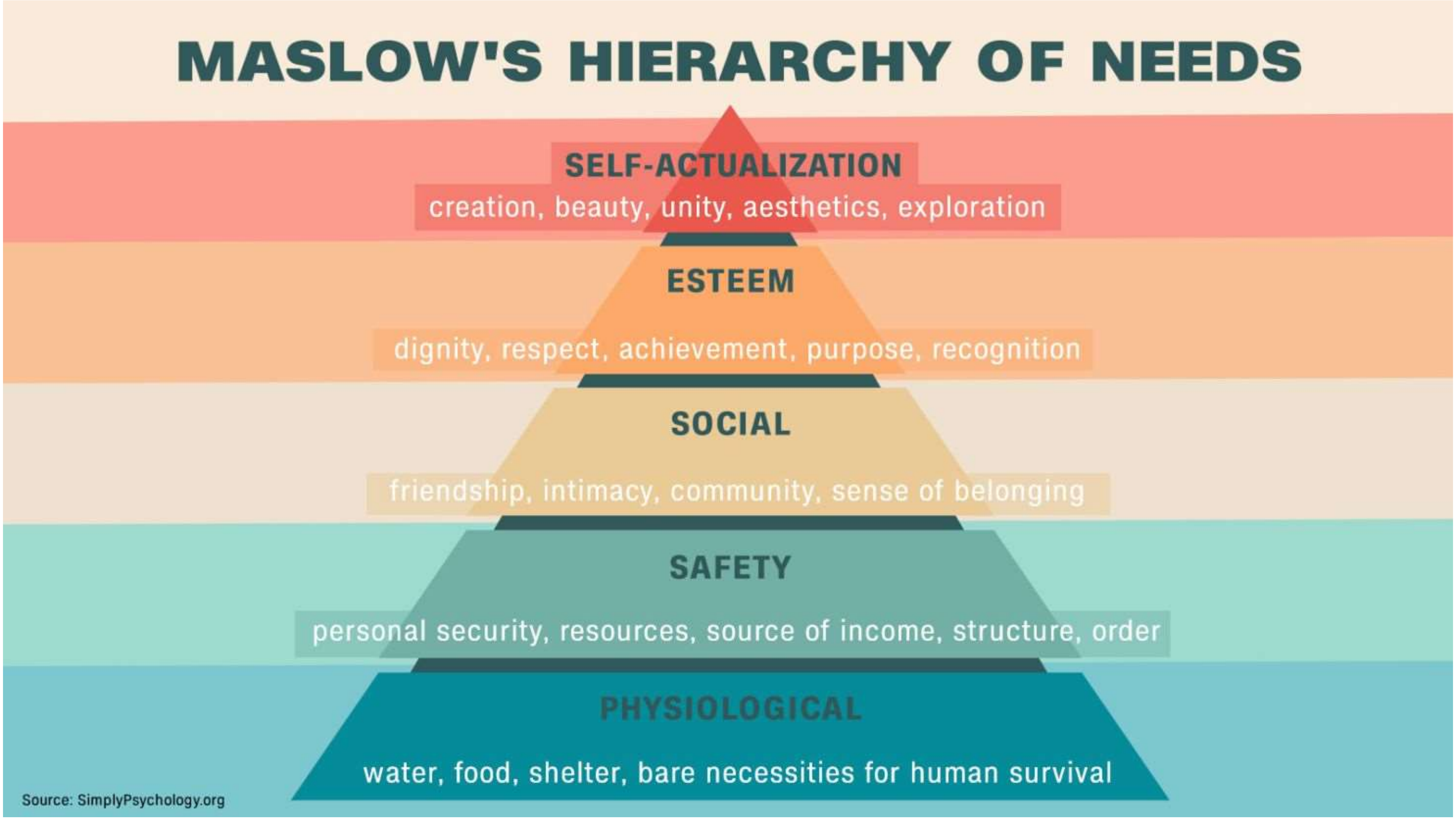
Examples:

- Doing schoolwork to earn a good grade.
- Working hard at a task or project to receive praise and recognition.
- Competing for a trophy or prize.
- Parking in a designated area to avoid fines.
- Going to work because you want to earn money.

Entrepreneurship Development Model & theories

MASLOW’S NEED HIERARCHY THEORY

- Maslow’s hierarchy of needs was first introduced in Abraham Maslow’s 1943 paper, “A Theory of Human Motivation.”
- Maslow later refined this theory in 1954 with his book “Motivation and Personality.” Since then, this theory has remained a popular subject in sociology, management training, and psychology classes.
- There are five main levels to Maslow’s hierarchy of needs. These levels begin from the most basic needs to the most advanced needs. Maslow originally believed that a person needed to completely satisfy one level to begin pursuing further levels.
- A more modern perspective is that these levels overlap. As a person reaches higher levels, their motivation is directed more towards these levels. However, though their main focus is on higher levels, they will still continue to pursue lower levels of the hierarchy but with less intensity.


MASLOW'S HIERARCHY OF NEEDS
SELF-ACTUALIZATION
creation, beauty, unity, aesthetics, exploration
ESTEEM
dignity, respect, achievement, purpose, recognition
SOCIAL
friendship, intimacy, community, sense of belonging
SAFETY
personal security, resources, source of income, structure, order
PHYSIOLOGICAL
water, food, shelter, bare necessities for human survival
Source: SimplyPsychology.org


Individual Examples
Self-fulfilment
Status
Friendship
Stability of Income
Hunger
Self-actualization
Esteem needs
Affiliation/ Belongingness/Social needs
Safety/Security needs
Basic Physiological needs
Organisational Examples
Achievement of Goals
Job Title
Cordial Relations with Colleages
Pension Plan
Basic Salary

Implications of Maslow's Hierarchy of Needs Theory for Entrepreneurs:

- The entrepreneurs must **identify the need level** at which the employee is existing and then those needs can be utilized as push for motivation.
- As far as the physiological needs are concerned, the entrepreneurs should give employees **appropriate salaries** to purchase the basic necessities of life.
- As far as the safety needs are concerned, the entrepreneurs should provide the employees **job security, safe and hygienic work environment, and retirement** benefits so as to retain them.
- As far as social needs are concerned, the entrepreneurship should **encourage teamwork and organize social events.**
- As far as esteem needs are concerned, the entrepreneurs can **appreciate and reward employees** on accomplishing and exceeding their targets. The management can give the deserved employee **higher job rank / position** in the organization.
- As far as self-actualization needs are concerned, the entrepreneurs can give the employees **challenging jobs** in which the employees" skills and competencies are fully utilized. Moreover, growth opportunities can be given to them so that they can reach the peak.

McCLELLAND'S THEORY OF ACHIEVEMENT MOTIVATION

McCLELLAND'S THEORY OF ACHIEVEMENT MOTIVATION AND ITS IMPLICATIONS

- David McClelland built this work in his 1961 book, "The Achieving Society." He identified three motivators that he believed we all have:
- a need for achievement,
- a need for affiliation, and
- a need for power.
- People will have different characteristics depending on their dominant motivator.

- McClelland says that even if we are from different culture, age or gender, we all have three motivating drivers, and one of these will be our dominant motivating driver. This dominant motivator is largely dependent on our culture and life experiences.
- This theory is regarded as the most important psychological theory. McClelland wanted to find the internal factors that motivate people to take opportunity of the trade.

McCLELLAND'S THEORY

1. Need for Achievement ("n Ach"):

This is the drive to excel, to achieve in relation to a set "standard, and to strive to succeed". In other words, need for achievement is a Behaviour directed towards competition with a standard of excellence.

McClelland found that people with a high need for achievement perform better than those with a moderate or low need for achievement, and noted regional, national differences in achievement motivation.

McCLELLAND'S THEORY

2. Need for Affiliation ("n Aff"):

The need for affiliation is defined as a desire to establish and maintain friendly and warm relations with other people. The need for affiliation, in many ways, is similar to Maslow's social needs.

McCLELLAND'S THEORY

3. Need for Power ("n Pow"):

The need for power is concerned with making an impact on others, the desire to influence others, the urge to change people, and the desire to make a difference in life. People with a high need for power are people who like to be in control of people and events. These result in ultimate satisfaction to man.


NEED FOR POWER
THE NEED FOR AFFILIATION
THE NEED FOR ACHIEVEMENT
NEED FOR POWER
• Control others
• Desired things done
NEED FOR AFFILIATION
• Friendship
• Good relationship
NEED FOR ACHIEVEMENT
• Drive to excel
• Set of Standards
• Strive to succees

Herzberg's Two-Factor Theory:

- Proposed by Frederick Herzberg, this theory distinguishes between two types of factors that influence motivation: **hygiene factors and motivators**. Hygiene factors are external factors that **prevent dissatisfaction**, while motivators are internal factors that **drive satisfaction** and motivation.
- **Hygiene Factors:** These include **salary, working conditions, job security, and company policie**s. While hygiene factors do not necessarily motivate, their **absence can lead to dissatisfaction.**
- **Motivators:** These include opportunities **for achievement, recognition, personal growth**, and meaningful work. Motivators directly influence motivation and job satisfaction.

Herzberg's Two-Factor Principles

Job Dissatisfaction

Influenced by *Hygiene* Factors

- Working conditions
- Coworker relations
- Policies and rules
- Supervisor quality
- Base wage, salary

Improving the motivator factors increases job satisfaction

Improving the hygiene factors decreases job dissatisfaction

Job Satisfaction

Influenced by *Motivator* Factors

- Achievement
- Recognition
- Responsibility
- Work itself
- Advancement
- Personal growth


Herzberg's Motivation - Hygiene Theory
Motivators
Achievement
Recognition
The Work Itself
Responsibility
Advancement
Growth
Demotivators
Bureaucracy (Corporate policies, Supervision)
Relationships
Work Conditions
Status
Salary
Job Security
31

Business Opportunity Identification

Identifying business opportunities is a crucial step in the entrepreneurial journey. It is the process by which potential entrepreneurs or existing business owners recognize and evaluate opportunities in the market that can lead to the creation or expansion of a business. Successful business opportunity identification requires a combination of market research, creativity, strategic thinking, and an understanding of consumer needs and trends.

Business Opportunity Identification.

- A business opportunity refers to a situation where a person or organization identifies a need or demand in the market that can be met through a new business venture or expansion of an existing one.
- Opportunities for a business involve a specific product, service, or niche that has the potential for profit.
- Identifying business opportunities **involves recognizing gaps in the market, emerging trends, consumer needs, or areas where there is room for innovation and improvement**. It requires careful analysis of market dynamics, competition, and potential risks and rewards.

- **BigBasket:** Identified a gap in the online grocery market, catering to urban households seeking convenience. They built a robust supply chain to deliver fresh groceries, becoming a leader in the e-grocery segment.
- **Paper Boat:** This company identified an opportunity in the beverage market by creating traditional and regional packaged drinks, appealing to nostalgia and specific consumer preferences.

- **Cloud kitchen. (during COVID 19)**
- **Zerodha**
- **Lenskart**
- **Udaan (eated a wholesale B2B marketplace)**

Sources of BOI

1. Market Gaps

Identifying **unmet needs or underserved** markets can present significant business opportunities. Entrepreneurs who can offer products or services that fill these gaps can achieve success.

Example: Airbnb

Airbnb **identified a gap** in the market for **affordable and flexible short-term accommodations**. Traditional hotels were expensive and lacked local authenticity, so Airbnb provided a platform where homeowners could rent out their spaces, meeting the demand for unique and cost-effective lodging options.

2. Technological Advancements

New technologies often create opportunities for innovative products or services, as they can disrupt existing markets or create entirely new ones.

Example: Paytm

The rise of affordable smartphones in India created opportunities for mobile app development companies. For instance, the founders of Paytm identified the growing need for digital payments and capitalized on it by creating a mobile wallet that now offers a wide range of financial services.

3. Changing Consumer Preferences

Shifts in **consumer behavior, preferences, or demographics** can lead to new business opportunities. Companies that can adapt to or anticipate these changes can capitalize on emerging trends. Increasing demand for **sustainable and eco-friendly products** has led to new business opportunities in the green market.

Example: Nutrilite Amway Nutrilite All Plant Protein Powder

Next on the list is the Nutrilite Amway Nutrilite **All Plant Protein Powder which is a 100% plant protein** sourced from a tri-blend of soy, wheat, and yellow peas.

Example: Tetra Pak.

products made from recycled tetra paks such as milk and juice cartons.

4. Regulatory Changes

New laws or changes in regulations can create opportunities for businesses to develop products or services that help others comply or take advantage of the new legal landscape.

Example: Solar Energy Companies in India

The Indian **government's push for renewable energy** and its subsidies for solar power created opportunities for companies in the solar energy sector. Firms like **Tata Power Solar** capitalized on these regulatory changes by expanding their operations and providing **solar panels and installation services** to meet the growing demand.

Zoho: The **implementation of the Goods and Services Tax (GST)** in India prompted many businesses to develop software solutions to help companies comply with the new tax regime. **Zoho**, introduced GST-compliant accounting software tailored to the needs of Indian businesses

5. Social and Environmental Issues

Addressing social, environmental concerns can open up opportunities for businesses that offer socially responsible and sustainable solutions.

Example: UrbanClap (now Urban Company)

UrbanClap identified the growing demand for on-demand **home services** in India’s urban centers, driven by a younger, tech-savy population seeking convenience. The platform offers a wide range of services, from beauty treatments to home repairs, directly to customers' doorsteps.

6. Economic Shifts

Economic trends such as **recession, inflation, or changes in consumer income levels** can present opportunities for businesses that can adapt to the new economic environment.

Example: **Ola Cabs**

The rise in urbanization and **increasing disposable incomes** in India led to a demand for **convenient transportation solutions**. Ola Cabs capitalized on this by offering an app-based ride-hailing service, catering to the growing middle class in urban areas.

PhonePe: The government's push for a **cashless economy** opened up opportunities for fintech companies. PhonePe, seeing the shift towards **digital transactions**, developed a platform that integrates various financial services like UPI, bill payments, and insurance, making them accessible via a mobile app.

7. Innovations in Business Models

Introducing new business models or improving existing ones can create opportunities to disrupt industries or create more efficient ways of doing business.

Example: Netflix

Netflix disrupted the **traditional video rental industry** by offering a **subscription-based streaming service**, replacing the need for physical rentals. This new business model capitalized on the growing trend of digital consumption and convenience, leading to Netflix's dominance in the entertainment industry.

Example: JioFiber

The specific product for home and business broadband internet access.

8. Globalization

Expanding into international markets or sourcing from global suppliers can provide opportunities for growth and cost reduction.

Example: Zara

Zara leveraged globalization by establishing a **fast-fashion model** that allowed it to qui**ckly respond to fashion trends and distribute products globally**. By sourcing materials and manufacturing from various countries, Zara could offer trendy clothing at competitive prices in multiple markets worldwide.

9. Research and Development (R&D)

Investing in R&D can lead to new product innovations, improving existing products or creating entirely new markets.

Example: Apple Inc.

Apple’s investment in R&D led to the development of the iPhone, which not only transformed the mobile phone industry but also created a vast ecosystem of apps and services. This continuous innovation keeps Apple at the forefront of technology and consumer electronics.

THANK YOU